

THE FEDERAL MARITIME COMMISSION
800 North Capitol Street, NW, Washington, D.C.

D. F. YOUNG, INC.,
Complainant,
v.
NYK LINE (NORTH AMERICA) INC.,
Respondent.

DOCKET NO. 16-02

RESPONDENT'S MOTION FOR A SUMMARY DECISION

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**RESPONDENT'S MOTION FOR A
SUMMARY DECISION**

INTRODUCTION

- A. Abbreviations:**
- | | |
|---------------------|--|
| “DFY | means the Complainant. |
| “Ford” | means non-party Ford Motor Co. |
| “NYK” | means the Respondent. |
| “OSRA” | means the Ocean Shipping Reform Act of 1998. |
| “RX-[number]” | means the numbered pages of NYK’s accompanying Appendix. |
| “Service Contracts” | mean one or both of two service contracts between Ford, as shipper, and NYK, as carrier. |
| “Shipment(s)” | mean(s) one or more Ro-Ro shipments of new assembled automobiles shipped |

by Ford Motor Co. under the Service Contract(s).

“Tariff NYKS-156” means the NYK Worldwide Roll-on/Roll-off Tariff covering various commodities including new assembled automobiles.

- B. Nature of this action:**
1. DFY, as freight forwarder, sues NYK, as common carrier, alleging unpaid freight forwarder compensation.
 2. The compensation claimed is for shipments of new manufactured automobiles by Ford.
 3. DFY claims that NYK agreed to pay forwarder compensation in its applicable, effective tariff.
- C. NYK’s summary decision defense:**
- NYK’s amended answer denies the wording and applicability of the tariff pleaded by DFY and alleges that the Ford Shipments were service contract shipments as to which no forwarder compensation is required or was agreed to.
- D. Relief requested by this motion:**
- Summary decision dismissing the Complaint on grounds that NYK is not legally or contractually

obligated to pay forwarder compensation where, as here, the applicable Service Contracts:

1. Do not provide for forwarder compensation; and
2. Do not incorporate tariff provisions that provide for it.

E. Status of the case: Discovery has been completed. The case is not yet scheduled for a hearing.

F. Basis for this motion: Absent its agreement to do so, an individual ocean carrier has no legal obligation to pay forwarder compensation. NYK never agreed to pay freight forwarder compensation to DFY in that:

(See Proposed Findings of Fact, below)

1. The Ford Shipments were not tariff moves, but Service Contract moves.
2. The Ford Service Contracts:
 - (a) Do not call for payment of any forwarder compensation to DFY; and in any event,
 - (b) Contain a disclaimer that no third party beneficiary rights are created.

3. There is a tariff rule [Tariff NYKS-156, Rule 9] that provided for forwarder compensation for Ro-Ro shipments including those of manufacturers' automobiles. However, Rule 9 does not apply to the Ford Shipments because:
 - (a) The Ford Service Contracts under which the automobiles were shipped contain only negotiated, service contract rates. No tariff rates applied.
 - (b) The Service Contracts each have a clause excluding all extrinsic terms not specifically incorporated by a signed writing. Neither Tariff NYKS-156 nor its Rule 9 is incorporated.
 - (c) And in any event, compensation under Rule 9 is expressly based on *tariff* rates not service contract rates.
3. A Power of Attorney dated April 2, 2015 entered into between DFY and NYK allows for the remote printing of NYK bills of lading. It, too,

contains no provision for payment of forwarder compensation.

G. Reservation of Rights: NYK has limited this motion to the issue of whether it has a legal or contractual obligation to pay forwarder compensation (assuming the other requirements of law are met). In so doing so:

(a) NYK does not admit any allegations of the Complaint not already admitted in its amended answer; and

(b) Reserves all of its other denials and defenses, such as whether DFY meets the requirements for compensation set out in 46 C.F.R. 515.42.

DOCUMENTARY EXHIBITS

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EXHIBIT A:	DFY's Complaint (without exhibits).	RX-01
EXHIBIT B:	NYK's Amended Answer.	RX-14
EXHIBIT C:	Tariff NYKS-156 Rule 9.	RX-26
EXHIBIT D:	Excerpts from Service Contract for 2013-2016. <i>See, paras. 1-2 below.</i>	RX-27
EXHIBIT E:	Excerpts from Service Contract for 2016-2018. <i>See, paras. 1-2 below.</i>	RX-50

EXHIBIT F:	DFY/NYK Power of Attorney providing for remote printing of NYK bills of lading.	RX-63
EXHIBIT G:	NYK change to Rule 9 of Tariff NYKS-156.	RX-67
EXHIBIT H:	Amendment 36 to EXHIBIT D.	RX-71
EXHIBIT I:	Declaration of NYK's Senior Director of Ro-Ro Trade, John Grbic.	RX-68

1. NYK's moving EXHIBITS D and E are not the entire Ford Service Contracts, but only excerpts of those parts containing specific provisions on which NYK relies.
2. However, NYK also relies on the Ford Service Contracts for what they do *not* contain—i.e., a third party beneficiary provision requiring NYK's payment of forwarder compensation to DFY.
3. Rather than trying to prove a negative by burdening the record with voluminous copies of the entire Service Contracts, NYK will rely on the federal court summary judgment rule allowing the movant—on issues where the non-movant has the burden of proof—to state the absence of evidence to support an element of the non-movant's case. See, e.g., *Grimes v. D.C.*, 794 F.3d 83, 93 (D.C. Cir. 2015).
4. As explained below, the Service Contracts contain no provision obligating NYK to pay forwarder compensation to DFY. If DFY believes there are one or more such provisions in the Service Contracts, DFY will specifically cite to it or them in its opposition.

PROPOSED FINDINGS OF FACT

A. DFY's Claim

5. DFY's claim is for unpaid freight forwarder compensation. *RX-04-05, paras. 12-22.*
6. The Shipments for which DFY claims forwarder compensation were new assembled automobiles shipped by Ford. *Id.*
7. The Complaint seeks compensation amounting \$252,776.89 which is alleged to have accrued over the period of time beginning March 25, 2015. The Complaint seeks further amounts that may accrue. *See:*
 - *RX-04, para. 12;*
 - *RX-011, para. 48;*
 - *RX-012, para. 53.*
8. DFY alleges that NYK was and is the liable common carrier. *RX-03, para. 6.*
9. DFY alleges that the NYK agreement to pay forwarder compensation is to be found in an NYK's tariff. *RX-03, paras. 8-11.* In its verified answers to NYK's first set of interrogatories, DFY responded:

INTERROGATORY NO. 8:

Identify each agreement in which Respondent agreed to pay freight forwarder commissions to Complainant.

RESPONSE NO. 8:

Please see Preliminary Statement. Respondent agreed to pay Complainant, and other freight forwarders who performed similar work, freight forwarder compensation by and through the terms of its applicable tariff and by accepting Shipments booked, secured, and reserved by Complainant. By way of further response, pursuant to the same tariff, Respondent does pay Complainant freight forwarding compensation on

shipments booked by Complainant on behalf of shippers other than Ford Motor Company.

The “Preliminary Statement” referred to by DFY contains disclaimers that do not affect the plain meaning of Response No. 8.

B. NYK’s Defenses

- 10.** NYK’s amended answer denies the wording and applicability of the tariff pleaded by DFY and alleges a fourth affirmative defense that:

The shipments at issue in this case were Service Contract shipments, not tariff shipments and therefore do not qualify for freight forwarder compensation under 46 CFR 515.42 or otherwise. The Service Contract did not provide for freight forwarder compensation and neither incorporated nor was governed by any tariff provision providing for freight forwarder compensation.

RX-16, paras. 8-11; RX-24, para. Fourth.

C. Tariff NYKSA-156 and Rule 9

- 11.** If the Ford Shipments had been tariff moves as DFY alleges, then the governing tariff would have been NYKS-156 which was and is the NYK Tariff governing worldwide Ro-Ro services. *RX-72, para. 8.*
- 12.** Tariff NYKS-156 has a Rule 9 governing freight forwarder compensation which says:

“The compensation which is paid under this rule shall be on the *gross freight*. The *gross freight* includes the *tariff rate* and Heavy Lift and Extra Length Charges, if applicable, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port

detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designed to cover specific costs. Compensation will not be paid on any shipment on which brokerage is payable”

RX-26. Rule 9 makes no mention of non-tariff/negotiated/service contract rates.

Id. [1]

D. The Service Contracts

13. Each Ford Shipment for which compensation is sought was carried under one of the two Service Contracts. *RX-72, para. 10 and RX-73, para. 12..*

(a) The first Service Contract ran from January, 2013 to December 2015.

Excerpts are *See, NYK’s MOV. EXHIBIT D. (RX-027).*

(b) The second runs from January, 2016 to December 2018. Excerpts are *NYK’s See, MOV. EXHIBIT E. (RX-050).*

14. As a freight forwarder, DFY was not a party to either Ford Service Contract and by law could not have been. *See, id.;* see also, OSRA, 46 U.S.C. 40502(a); 46 U.S.C. 40102(6)(A), 20, and 22. (Only common carriers and shippers may enter into service contracts).

¹ Although not relevant to this motion, we note that Rule 9 was amended effective November 2, 2016 to eliminate forwarder compensation for shipments of automobile manufacturers’ cargo. *See, NYK MOV. EXHIBIT G. (RX-67).*

15. The Ford Service Contracts *do not* contain any intended third party beneficiary language obligating NYK to pay freight forwarding compensation to DFY. *See, RX-73, para. 13(b).*
16. The Service Contracts *do* contain the following provisions:
- (a) Negotiated/non-tariff/service contract freight rates rather than the tariff rates contemplated by Rule 9. *Compare, RX-49-35 and 60-62.* And,
 - (b) A clause excluding all extrinsic terms not specifically incorporated in a signed writing. *RX-29-30 and 53-54 (each at para. 13).* That clause says:

CARRIER DOCUMENTS; *ENTIRE AGREEMENT*: ... *this Agreement supersedes all tariffs, . . . and only those terms and provisions of such documents that are expressly incorporated into the Agreement in a writing signed by both parties shall apply to the Shipments transported under the Agreement. . . . This Agreement may not be waived, altered, modified or amended except by a written instrument, duly executed by all the parties to this Agreement. * * **

[Emphasis added].

- (c) A clause which disclaims the creation of any third party beneficiary rights.
(To avoid duplication, only the clause from the 2013 Service Contract is in the Appendix.) That clause reads:

28. NO THIRD PARTY RIGHTS

Except as expressly provided in the Global Terms and Conditions, no term, condition or right in or arising under any of the documents or Web Guides relating to the purchase of the Supplies gives or creates any third party beneficiary rights or any other rights whether in law or equity to any person or entity other than the Buyer, the Seller and their Related Companies.

RX-030-A. Reference in the foregoing clause to “Supplies,” “Buyer,” and “Seller” are, respectively, to the Service Contracts’ cargo, shipper, and carrier.

17. There is an absence of evidence on the record that either Tariff NYKS-156 or its Rule 9 is incorporated into the Service Contracts. *RX-73, para. 13(c); see also, RX-27-34 and 50-55.*

E. The Power of Attorney

18. NYK also entered into a Power of Attorney dated April 2, 2015. A true and complete copy of that Power of Attorney is *EXHIBIT F. RX-63-66.*
19. The Power of Attorney allows NYK bills of lading for Ford Shipments to be printed remotely at the Ford premises based on data created by NYK and transmitted to DFY in accordance with that Power of Attorney. *See, id.*
20. Power of Attorney contains:
- (a) Nothing that obligates NYK to pay forwarder compensation to DFY [*id.*]; and
 - (b) A para. 10 which reads in part:

This Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in a writing signed by the party against whom enforcement is sought.

See, id. (RX-66).

F. Amendment 36

21. The 2013 Service Contract contains a reference to freight forwarder compensation. The Contract's Amendment 36 reads in part as follows:

Amendment 36 amends the contract as follows:
Adds the US (Newark/Doremus, Jacksonville/Blount Island) to Mexico (Veracruz) trade for various vehicles, at a rate of \$8 / cbm plus Ford BAF *plus \$7 / unit freight forwarding fee. The freight forwarding fee covers services outlined in the attached document "FV Freight Forwarding1.doc."*

[Emphasis added] *NYK's MOV. EXHIBIT H, 1st page. (RX-68).*

22. By the express language of Amendment 36:

- (a) The \$7 fee was to *be paid by Ford* as part of the Service Contract freight and charges; and
- (b) Respondent is not obligated to pay anything. *Id.*

23. The Amendment 36 \$7 fee was to cover Respondent's expenses in engaging a freight forwarder for Ford shipments in a trade for which Ford did not engage DFY or its freight forwarder predecessor, Schenker. *RX-74, para. 15(b).*

24. Amendment 36 was not an agreement to pay Complainant or any forwarder hired by Ford. *RX-74, paras. 15(b) and 16.*

ARGUMENT

POINT 1

OCEAN CARRIERS ARE NOT OBLIGATED TO PAY FORWARDER COMPENSATION ABSENT SOME AGREEMENT OR UNDERTAKING TO DO SO. THERE WAS NO SUCH AGREEMENT OR UNDERTAKING IN THIS CASE.

A. A CARRIER'S OBLIGATION TO PAY FORWARDER COMPENSATION IS BASED UPON CONTRACT

25. The Ford Shipments were of new assembled automobiles which are exempt commodities both for tariff and service contract purposes.

- OSRA, 46 U.S.C. 40501(a)(2) (Tariffs);
- 46 C.F.R. 520.13(c)(1) (Same);
- OSRA, 46 U.S.C. 40502((b)(2) (Service Contracts);
- 46 C.F.R. 530.13(a)(4) (Same).

26. There is nothing to suggest that shipments of exempt commodities are subject to any different rules regarding freight forwarder compensation than their non-exempt counterparts.

(i) Tariff Shipments

27. With respect to *tariff shipments*, an ocean carrier is *not required* to pay forwarder compensation. However, it *is permitted* to pay such compensation when the statutory and regulatory requirements are met. See:

- OSRA, 46 U.S.C. 40904 (a) (“A common carrier *may* compensate an ocean freight forwarder”) (Emphasis ours);

- 46 C.F.R. 515.42(b) (Same);
- OSRA, 46 U.S.C. 40501(b)(3) (General tariffs shall state the level of OTI compensation “if any” to be paid by the carrier);
- 46 C.F.R. 520.4(a)(3) (Same);
- *L. Braverman & Co. v. Lykes Bros. S.S.A. Co.*, 21 F.M.C. 372, 378 (ALJ 1978)
(Regulations and statute are permissive and neither one orders the payment of forwarder compensation or specifies when it must be paid).

28. The only legal obligation in respect of forwarder compensation for tariff shipments is at 46 C.F.R. 40904(d) which applies only to concerted action by a conference or a group of two or more common carriers authorized to agree—which is not the case here.^[2] See also, 46 C.F.R. 515.42 (d) (last sentence).
29. Section 40904(d) (see, fn. 1, below) is consistent with the historical view that individual carriers are not bound by the limitations on concerted action.

Nothing herein is to be construed as a directive that individual carriers must pay brokerage nor as any limitation as to the amount of brokerage that may be paid by such individual carriers, provided the payments do not result in violations of applicable statutes. A carrier should be free within limits to pay brokerage or not as its individual managerial discretion dictates.

² “A conference or group of two or more ocean common carriers in the foreign commerce of the United States that is authorized to agree on the level of compensation paid to an ocean freight forwarder may not * * * agree to limit the payment of compensation to an ocean freight forwarder to less than 1.25 percent of the aggregate of all rates and charges applicable under a tariff and assessed against the cargo on which the services of the ocean freight forwarder are provided.” [46 C.F.R. 40904(d)]

The Joint Committee of Foreign Freight Forwarders Assoc. v. Pacific Westbound Conf., 4 F.M.C. 166, 168-69 (F.M.B. 1953).

30. The permissive nature of forwarder compensation by ocean carriers is consistent with prior law and practice. See, e.g.:
- “Investigation of Practices, Operations, Actions & Agreements of Ocean Freight Forwarders,” Nos. 765 and 831, 6 F.M.B. 327, 347, 348 (1961) (Reviewing history of carrier brokerage payments to forwarders and determining that no compensation is due a forwarder from a carrier absent some binding agreement or appointment—even if the carrier benefits from the forwarder’s activities) (Excerpted at ADDENDUM 2).
 - “Agreements and Practices Pertaining to Brokerage, and Related Matters,” No. 657, 3 U.S.M.C. 170, 172 (1949) (Shipping Act silent as to any requirement regarding payment of forwarder compensation (referred to as brokerage)—describing carrier payment of forwarder brokerage as a “practice”).

(ii) Service Contract Shipments

31. The specific provisions of the Shipping Act and its regulations that deal with forwarder compensation make no mention of service contracts. See, OSRA, 46 U.S.C. 40904; 46 C.F.R. Part 515.
32. Similarly, the specific provisions of the Shipping Act and its regulations which deal with service contracts make no mention of forwarder compensation. See, OSRA, 46 U.S.C. 40502; 46 C.F.R. Part 530.
33. Congress is presumed to be aware of prior administrative and judicial interpretations when it re-enacts a statute without change to them. *Merrill Lynch, Pierce, Fenner & Smith v. Curran*, 456 U.S. 353, 382 n.66 (1982).

34. OSRA and its legislative history contain nothing to suggest that Congress intended the statute to be a departure from prior practice [*see, paras. 27-30, above*], or that Congress sought to make forwarder compensation mandatory for service contract shipments. See, e.g., Senate Report on S. 414, S. Rep. No. 61, 105th Cong., 1st Sess. (1997).

B. DFY CANNOT CARRY ITS BURDEN OF PROVING AN UNDERTAKING OR AGREEMENT BY NYK LINE TO PAY FORWARDER COMPENSATION.

35. DFY bases its claim for freight forwarder compensation on an NYK tariff. *See, para. 9, above.*
36. The only NYK tariff rule covering Ro-Ro shipments of new assembled automobiles is Tariff NYKS-156. *See, para. 11, above.*
37. NYKS-156 has a Rule 9 governing forwarder compensation.
38. However, Rule 9 does not apply expressly or by incorporation to the Ford Service Contracts. *See, paras. 12 and 17, above.*
39. Moreover, Rule 9 explicitly limited forwarder compensation to tariff rates. It did not extend forwarder compensation to service contract rates. *See, paras. 12 and 16(a), above.*
40. The interpretation of a tariff is no different from the construction of any other contract or document. *Giacona v. Marubeni Oceano (Panama) Corp.*, 623 F. Supp. 1560, 1569 (S.D. Tex. 1985) (Citing cases).

41. The wording of a tariff is given its plain, ordinary meaning unless it is apparent that a different meaning is intended. *Great N. Ry. Co. v. Merchants' Elevator Co.*, 259 U.S. 285, 291–92 (1922).

The Commission has repeatedly held that tariff provisions should be construed reasonably, and without a strained or unnatural construction. Furthermore, tariff interpretation is governed by the “*express language*” of the tariff, not the “unexpressed intent” of the author.”

S.A. Chiarella v. Pacon Expr., 2001 WL 1085424 (F.M.C. 2001) (Citations omitted) (Emphasis added).

42. Whether a contract or tariff is ambiguous is a question of law. *Id.*; *U.S. Nav. Co. v. Cunard S.S. Co.*, 284 U.S. 474, 482 (1932) (Construction given railroad tariff ordinarily a question of law no different from construction of any other document).
43. To be ambiguous, a writing must be susceptible of at least two reasonable interpretations. See, e.g., *Armenian Assembly of Am., Inc. v. Cafesjian*, 758 F.3d 265, 278 (D.C. Cir. 2014).
44. In this case:
- (a) The absence of any reference to service contract rates in Rule 9 [*see, para. 12, above*]; and
 - (b) The absence of any intended third party beneficiary provision for payment of forwarder compensation to DFY in the Ford Service Contracts or the Power of Attorney [*see, paras. 15-17, 20, above*],
- are *not* susceptible of any reasonable interpretation that NYK agreed to pay freight forwarder compensation to DFY.

45. Moreover, Rule 9 provides in part:

[Forwarder] compensation which is paid under this rule shall be on the *gross freight*. The *gross freight* includes *the tariff rate* and Heavy Lift and Extra Length Charges, if applicable [See, para. 12, above] [*Emphasis added, bracketed text ours*]

46. The only reasonable interpretation of that language is that forwarder compensation is to be paid under Rule 9 only on the actual freight and charges and that freight must be at the tariff rate—which service contract rates are not.

47. 46 C.F.R. 515.42(d) is explicit:

No licensed freight forwarder, or employee thereof, shall accept compensation from a common carrier which is different from that *specifically provided* for in the carrier's effective tariff(s). [*Emphasis added*].

48. It is impossible to see how Rule 9 *specifically provided* for forwarder compensation in respect of service contract rates when it explicitly said “gross freight” including “the tariff rate,” and any applicable charges.

49. The rights as defined by a tariff cannot be varied or enlarged by any contract of the carrier. *Keogh v. Chicago & N.W. R. Co.*, 260 U.S. 156, 163 (1922).

50. Consequently, the mere existence of a Ford Service Contract cannot enlarge DFY’s rights under NYKS-156, Rule 9 even if the two documents alternatively cover the same kind of commodity.

C. AMENDMENT 36 DOES NOT SHOW ANY OBLIGATION ON NYK’S PART TO PAY FREIGHT FORWARDER COMPENSATION.

51. To enforce rights under a contract to which the claimant is not a party, the non-party must show, among other things, that he or she is an intended beneficiary of

the contract, and not an incidental beneficiary to whom no duty is owed. See, *Schmalfeldt v. North Pointe Ins. Co.*, 469 Mich. 22, 670 NW 2d 651, 654 (2003).

52. Under Michigan law (which is the law of the Service Contracts), a person is only a third party beneficiary of a contract when the promisor undertakes an obligation directly to or for the person is to the same effect. *Id.* (Citing statute).
53. Amendment 36 to the 2013 Service Contract [*NYK's MOV. EXHIBIT H at RX-68*] does not meet that criteria. By its wording:
- (a) Amendment 36 expresses no intent to benefit any freight forwarder.
 - (b) The Amendment refers to DFY neither by name nor by description.
 - (c) The Amendment does not obligate NYK to pay anyone. Rather it obligates Ford to pay freight and charges including an amount for freight forwarding costs incurred by NYK.
 - (d) The charge to Ford is incidental to the purposes of a service contract. See, OSRA, 46 U.S.C. 40102(20).

POINT 2

THERE IS NO STATUTORY OR CONTRACTUAL BASIS FOR READING TARIFF NYKS-156 RULE 9 INTO THE SERVICE CONTRACTS, OR THE SERVICE CONTRACT RATES INTO RULE 9. NEITHER REFERS TO THE OTHER EXPRESSLY OR BY IMPLICATION.

54. If, as we argue, there was no express contractual agreement or undertaking to pay forwarder compensation on the Ford Shipments, the question then becomes whether Tariff NYKS-156, Rule 9 is somehow to be read into the Service Contracts as a matter of law. We believe not.

(a) The law is that: "... Commission regulations permit a service contract to cross-reference and incorporate terms set forth in the carrier's general tariff."

- *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 13-07, p. 33, (FMC 04/17/14);
- Leonard J. Fleisig, "Bundling Unaffiliated Shipper," *Journal of Commerce*, (02/16/99) (ADDENDUM 3) (Most service contracts linked to tariffs for accessorial charges, surcharges, certain rules, and basic terms and conditions. FMC survey found 10% of service contracts all-inclusive while 90% linked or referred to tariff.).

(b) There would be no need to explicitly permit service contract cross references and incorporation of the carrier's tariff if the tariff were already read into the service contract.

55. The final question then becomes whether a forwarder nevertheless should be entitled to compensation under NYKS-156, Rule 9 even through the exempt commodity moved under a Service Contract at a non-tariff/negotiated/service contract rate. We believe it should not.

(a) For one thing, Service Contracts do not supplement tariffs. They provide an alternative.

Service contracts offer an alternative to transportation under tariff terms. Contract flexibility enables carriers to tailor their transportation services to the specific commercial and operational needs of shippers. ... Overall, the use of service contracts has continued to increase significantly due primarily to the efficiency, flexibility, and confidentiality of one-on-one negotiation of contracts between shippers and carriers.

See, F.M.C. Website (“Service contracts offer an alternative to transportation under tariff terms.”) (ADDENDUM 1). By definition, the custom tailoring allowed with service contracts are prohibited by the one size fits all/off the rack requirements of tariff shipping.

- (b) Beyond that, there conceivably would be only two possible bases for doing so, but neither applies here;

(i) No Statutory Basis

1. There is nothing in the OSRA statutory scheme created by Congress to suggest such an outcome. Congress directly addressed the issue of forwarder compensation but chose to provide only the limited protections of 46 C.F.R. 40904(d) in regard to concerted action by a conference or by two or more carriers which does not apply here. *See, para. 12 and fn. 1 above.*
2. Although the Commission seeks to give effect to Congressional intent, no such intent has been expressed either in the statute or its legislative history. *See, e.g., Senate Report on S. 414, supra at para. 34.* The Commission should not imply what Congress did not see fit to grant.

(ii) Implied-in-Law Contractual Basis

3. Implied-in-law contracts are formed as a matter of law and in the interests of justice without regard to the parties’ intentions. Such contracts are bound up with questions of unjust enrichment. *See*

e.g., *ATC Petr., Inc. v. Sanders*, 860 F.2d 1104 (D.C.Cir. 1988)

(Plaintiffs failed to demonstrate unjust enrichment such that implied-in-law contract was established).

4. It has always been accepted that a carrier is not obligated to pay forwarder brokerage or compensation absent an agreement or undertaking to do so—even where the carrier has derived benefits from the forwarder’s activities. “Investigation of Practices,” etc., 6 F.M.B. at 347, 348 (*see, para. 30. above at 1st bullet point*). Analogizing forwarders to broker, the Board wrote;

Where there is no employment or binding contract for the payment of commissions and the broker acts as a mere volunteer, he is not entitled to compensation for his services, although such service are the efficient cause of bringing the parties together and they result in a sale or other contract between them.

Id. at 346 (ADDENDUM 2).

5. There has been no change in the industry to now justify the notion that a carrier who does not agree to pay forwarder compensation in respect of service contracts is somehow unjustly enriched whereas that same carrier who does not agree to pay forwarder compensation in respect of tariff shipments is not.

CONCLUSION

In a 1999 article for the *Journal of Commerce*, a leading lawyer on freight forwarding matters wrote:

When the Ocean Shipping Reform Act takes effect May 1, there will no longer be a statutory obligation requiring vessel-operating common carriers, VOCCs, to pay freight-forwarder compensation for shipments moving under service contracts.

Forwarders desiring compensation for shipments moving under service contracts must see to it that the pact contains a compensation provision. Unless the service-contract parties make provision for such compensation, the forwarder will be out of pocket.

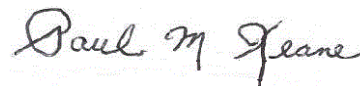
Leonard J. Fleisig, "Bundling Unaffiliated Shipper," *Journal of Commerce*, (02/16/99)

(ADDENDUM 3).

The Service Contracts contain no such provision. Therefore, NYK's motion should be granted.

Dated: White Plains, NY, January 9, 2017

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By: 

Joseph De May, Jr.

ADDENDUM 1



The screenshot displays the official website of the Federal Maritime Commission (FMC). At the top, the FMC logo is on the left, and the text "FEDERAL MARITIME COMMISSION" is centered, followed by the tagline "Regulating the nation's international ocean transportation for the benefit of exporters, importers, and the American consumer." Navigation links for Home, Regs & Statutes, FOIA, and Contact Us are on the right. A search bar and social media icons (Twitter, RSS) are also present. Below the header is a dark blue navigation bar with white text for various sections: About the FMC, News & Events, Law & Regulation, Databases & Services, Licensing & Certification, Documents & Proceedings, and Industry Oversight. The main content area has a light blue background. On the left, a sidebar titled "About the FMC" lists links like The Commission, Bureaus & Offices, FMC Regulations & Statutes, Meeting Schedule, Organizational Chart, Reports, Strategies, & Budgets, and Governmentwide Laws & Regulations. The central column is titled "Office of Service Contracts and Tariffs" and features a "Director" section for Gary Kardan. The main text describes the Shipping Act and service contracts, noting that they are confidential and filed with the Commission. A red line underlines a sentence: "Service contracts offer an alternative to transportation under tariff terms." The right column contains "Contact Information" (Phone: 202-523-5856, Fax: 202-523-4372, E-mail: tradeanalysis@fmc.gov), "Areas of Interest" (links to 46 CFR parts 530, 520, 525, and 531), and "Related Information" (link to SERVCON).

FEDERAL MARITIME COMMISSION
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Office of Service Contracts and Tariffs

Director
Gary Kardan

The Shipping Act allows ocean common carriers, either individually or through agreements, to negotiate and execute service contracts with one or more shippers or shippers' associations. Under service contracts, shippers make a commitment to provide a certain volume or portion of cargo over a fixed period of time and carriers commit to a specified rate and a defined service level. These contracts are filed confidentially with the Commission. A concise statement of certain contract terms, i.e., commodity or commodities involved, minimum volume or portion, duration, and origin and destination port ranges, is required to be published in carriers' tariffs or conferences. 46 U.S.C. app. § 1702(19).

Service contracts offer an alternative to transportation under tariff terms. Contract flexibility enables carriers to tailor their transportation services to the specific commercial and operational needs of shippers. The confidentiality of contracts has spurred commercial innovations and brought greater efficiencies in the movement of cargo. Overall, the use of service contracts has continued to increase significantly due primarily to the efficiency, flexibility, and confidentiality of one-on-one negotiation of contracts between shippers and carriers.

Contact Information

Phone: 202-523-5856
Fax: 202-523-4372
E-mail: tradeanalysis@fmc.gov

Areas of Interest

- [46 CFR part 530, Service Contracts](#)
- [46 CFR part 520, Carrier Automated Tariffs](#)
- [46 CFR part 525, Marine Terminal Operator Schedules](#)
- [46 CFR part 531, NVOCC Service Arrangements](#)

Related Information

[SERVCON](#)

Accessed on 12/22/16 at:

[http://www.fmc.gov/bureaus offices/office of service contracts and tariffs.aspx](http://www.fmc.gov/bureaus%20offices/office%20of%20service%20contracts%20and%20tariffs.aspx)

ADDENDUM 2

[Excerpts from *Investigation of Practices, Operations, Actions & Agreements of Ocean Freight Forwarders*, 6 F.M.B. 327 (1961) (Ocean Freight Forwarders)]

BROKERAGE

General.—The practice of the payment of brokerage by ocean carriers to forwarders is of long standing, going back 60 years or more. It is a matter of prime importance in these proceedings, since brokerage constitutes a substantial portion of the revenues of forwarders as previously detailed. Therefore, before making findings concerning brokerage practices, it is necessary to determine as precisely as possible the exact nature of the relationship between forwarders and carriers, and whether the brokerage payments here involved are actually brokerage fees. Past decisions of the Board and its predecessors and of the courts have accepted the premise that forwarders, in their dealings with carriers, act in the capacity of freight brokers. See, for example, *In re Gulf Brokerage and Forwarding Agreements*, 1 U.S.S.B.B. 533 (1936); *Agreements and Practices re Brokerage*, 3 U.S.M.C. 170 (1949); and *U.S. v. American Union Transport*, *supra*, at p. 442, f.n. 6. It has consistently been held by the Board and its predecessors that brokerage is compensation for securing cargo for a vessel, see *Pacific Coast European Conf.—Payment of Brokerage*, 5 F.M.B. 225, 233-4 (1957), and the proceedings there cited.

FREIGHT FORWARDER INVESTIGATION—ETC. 347

In none of these decisions, however, was there any reference to the accepted definition of a broker, and the elements necessary to establish a brokerage relationship. In *American Union Transport v. River Plate & Brazil Confs.*, 5 F.M.B. 216 (1957), upheld in *American Union Transport v. United States*, 257 F. 2d 607 (1958), cert. den. 358 U.S. 828, an attempt was made to distinguish between the forwarding and so-called brokerage activities of a forwarder, but this proceeding involved only the activities of a single forwarder with respect to a specific series of shipments, and the Board relied upon its prior definition of brokerage as securing cargo for the ship. The principles there enunciated are relevant, however, in determining the issues here.

A broker is an agent employed to make bargains and contracts between other persons in matters of trade, commerce, and navigation for a compensation, commonly called brokerage. 12 C.J.S. § 11. A broker may act as agent for his customer only where he has been engaged to do so by a contract of appointment or employment, which may be either express or implied. 12 C.J.S. § 12.

The right of a broker to recover commissions or other remuneration for his services must be predicated on a contractual relation, he must have been employed to negotiate the contract or transaction in connection with which his services were rendered, and the employment must have been by the person from whom the commission is claimed or by some one acting for him. Where there is no employment or binding contract for the payment of commissions and the broker acts as a mere volunteer, he is not entitled to compensation for his services, although such services are the efficient cause of bringing the parties together and they result in a sale or other contract between them. 12 C.J.S. § 60.

The court in *American Union Transport v. United States*, *supra*, stated, p. 613:

The appointment of AUT [the forwarder] as a broker by Central [the shipper] could not create any liability on the part of the ocean carriers. There was no agreement by the carriers authorizing the appointment, and certainly no agreement by the members of the Conference to incur liability to AUT, with whom it had engaged in competition for the very business for which it now claims compensation by way of reparations. AUT was not the broker for the carriers to obtain the contract and there was no agreement at any time between AUT and the members of the Conference to pay brokerage.

As previously stated, in almost every instance shown of record, the services of forwarders are engaged by the shippers or consignees of the cargo, and there is no indication that any contrac-

tual relationships exist between the forwarders as such and carriers. The rates of ocean carriers generally apply at ship's tackle, and it is the duty of the shipper to bring the cargo alongside the vessel ready for shipment, and not that of the ship. See *American Union Transport v. River Plate & Brazil Confs.*, *supra*, at 223. The services of forwarders detailed above are almost entirely directed toward performance of the shipper's duty. Much stress is laid, in the briefs and in the testimony, upon the fact that it is the duty of the carrier under the Harter Act, 46 U.S.C. 193, and the Bills of Lading Act, 49 U.S.C. 100, to issue bills of lading, and that in preparing bills of lading the forwarders are acting on behalf of the carriers. See *In re Gulf Brokerage and Forwarding Agreements*, *supra*, at 534-5, and *Puerto Rican Rates*, 2 U.S.M.C. 117, 133 (1939). This duty of the carriers is accomplished, however, by the issuance of an original bill of lading for each shipment. The record here discloses, on the other hand, that for the use of the shipper a number of copies of the bill of lading are required, as many as 25 or 30, that the bills of lading are prepared at the request of the shipper, that a charge for this service is

ordinarily made to the shipper, and that in no instance are the forwarders employed by the carriers to perform this function. The benefits to the carriers from this service are therefore merely incidental to the needs of the shippers.

In the light of the comprehensive record made herein, it is concluded that, except in those rare instances in which forwarders are retained by carriers, under either express or implied agreements, to secure spot cargo, forwarders are not brokers. It is urged by some that the long accepted definitions of "broker" and "brokerage", as such, are no longer valid in relation to the services performed by forwarders. Brokers are specifically named in section 16 of the Act among those who are forbidden to obtain or attempt to obtain rebates, and there is no indication that this term was used by the Congress in any other than its accepted sense. Settled principles of law are not so lightly discarded.

ADDENDUM 3

https://www.joc.com/bundling-unaffiliated-shippers_19990216.html

JOURNAL OF COMMERCE

BUNDLING UNAFFILIATED SHIPPERS

Leonard J. Fleisig | Feb 16, 1999 7:00PM EST

When the Ocean Shipping Reform Act takes effect May 1, there will no longer be a statutory obligation requiring vessel-operating common carriers, VOCCs, to pay freight-forwarder compensation for shipments moving under service contracts.

Forwarders desiring compensation for shipments moving under service contracts must see to it that the pact contains a compensation provision. Unless the service-contract parties make provision for such compensation, the forwarder will be out of pocket. Further, as shipper-carrier partnerships develop without resort to or reliance upon the forwarder, the concept of the forwarder as a vital intermediary loses some of its force.

Forwarders risk falling victim to disintermediation - the weeding out of unnecessary intermediaries - unless they can establish that they remain vital links in the supply chain.

A number of carrier executives have indicated that they do not object to forwarder compensation for service-contract shipments as long as the forwarder brings "added value" to the table. Most forwarders remain confident that they provide sufficient added value to their shippers and carrier partners to warrant their rather limited (1.25 percent) commission.

Nevertheless, because service contracts will be, for the most part, the result of bilateral negotiations between shipper and vessel operator, the forwarder's pecuniary interest may be left un-discussed at the bargaining table. Forwarders will have to find ways to ensure that shipper and VOCC understand the forwarder's interests and act accordingly.

The grouping of "unaffiliated shippers" into de facto shippers' associations may provide the forwarder with the opportunity to ensure that it continues to be viewed as an essential component of the logistics and supply chain.

Under the 1984 Shipping Act, VOCCs could only enter into service pacts with an individual shipper or shippers' association. Under the reform act, VOCCs may enter into service contracts with groups of otherwise unaffiliated shippers.

Individual shippers may pool their cargo volumes in order to obtain more favorable volume discounts from ocean common carriers without having to undergo the time, expense, and burden of creating and maintaining a shippers' association.

Forwarders act on behalf of pre-defined groups of unaffiliated shippers, their clients, and are perfectly

situated to negotiate and oversee the operation of service contracts between unaffiliated shippers and vessel operators.

Forwarder bundling of shippers for service-contract purposes will benefit shippers who will obtain volume discounts collectively that they would not obtain individually. The forwarder would also act as a buffer to prevent dissemination of proprietary information between shippers.

Shippers will be able to buy the benefits of shippers' association membership rather than incur the expense of building new corporate entities. This approach to logistics management is an economically rational mechanism that adds value to shipper export transactions.

The VOCC also benefits. The ability to pre-sell more slots than it might otherwise aids corporate planning and vessel capacity management. A forwarder's diverse client-base, in terms of type of cargo and range of load/discharge ports, can also facilitate the VOCC's efforts to keep its slots occupied on all its routes.

The ability of a forwarder to offer carriers or consortia one-stop shopping for cargo has been, and remains, a factor that enhances its ability to negotiate effectively on behalf of its shipper clients. In some circumstances, the forwarder who can fill 10 slots in five trade lanes may be more valuable to the VOCC than the forwarder that can fill 10 slots in only one overbooked trade lane.

The forwarder will, of course, benefit from shipper bundling. Its ability to procure favorable freight rates is a time-honored method of ensuring customer loyalty and promoting new client development.

THE FEDERAL MARITIME COMMISSION
800 North Capitol Street, NW, Washington, D.C.

D. F. YOUNG, INC., Complainant, v. NYK LINE (NORTH AMERICA) INC., Respondent.

DOCKET NO. 16-02

APPENDIX
On Respondent's Motion for
a Summary Decision

Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
212-344-7042
Attorneys for Respondent

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**NYK's MOV.
EXHIBIT A**



ORIGINAL

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cc:.

**BEFORE THE
FEDERAL MARITIME COMMISSION**

2016 JAN 29 AM 11 03

DOCKET NO.: 16-02

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.,

**1235 Westlakes Drive
Suite 255
Berwyn, PA 19312.**

COMPLAINANT

V

NYK LINE (NORTH AMERICA) INC.,

**300 Lighting Way
5th Floor
Secaucus, NJ 07094**

RESPONDENT

VERIFIED COMPLAINT

**Thomas J. Wagner, Esq
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Boulevard
Philadelphia, PA 19103
Attorney for Complainant**

VERIFIED COMPLAINT

Complainant, D.F. Young, Inc. ("Complainant" or "DFY") files this Verified Complaint against Respondent, NYK Line (North America), Inc. ("Respondent" or "NYK") pursuant to the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 ("the Shipping Act"), 46 U.S.C. §§ 40101, *et seq.*, the Federal Maritime Commission ("FMC")'s authority under 46 U.S.C. §41301, and pursuant to FMC regulation 46 CFR §515

I. COMPLAINANT

- 1 Complainant is a corporation organized and existing under the laws of the Commonwealth of Pennsylvania.
2. Complainant's principal place of business is 1235 Westlakes Drive, Suite 255, Berwyn, PA 19312.
- 3 Complainant is in the business of providing services as an ocean transportation intermediary as defined and described in 46 U.S.C. §40102(19) and 46 CFR §515.2(m), operates as a non-vessel operating common carrier ("NVOCC") as defined and described in 46 U.S.C. §40102(16) and 46 CFR §515.2(k), and as licensed by the FMC under License No. 656F
- 4 Complainant has a Customhouse Broker License, License No. 1259

II. RESPONDENT

- 5 Respondent is, upon belief and information, a corporation organized and existing under the laws of the State of New York, with a principal place of business at 300 Lighting Way, 5th Floor, Secaucus, NJ 07094

- 6 Respondent is a common carrier of goods by water for hire, as defined and described in 46 U S C §§40102(6) and 40102(17), as well as 46 CFR §§515.2(e) and (l)

III. JURISDICTION

- 7 The FMC has jurisdiction over this Complaint pursuant to 46 U S C §§41301, *et seq* and pursuant to 46 U S C §§40904, 41102, and 41104, as well as 46 CFR §515.42, as Complainant seeks reparations related to freight forwarding compensation withheld by Respondent that is required by Respondent's applicable tariffs.

IV. STATEMENT OF FACTS AND MATTERS COMPLAINED OF

A. TARIFFS

- 8 At all times applicable to the facts alleged in this Complaint, Respondent had tariffs in effect that established the rate and requirements for compensation to entities providing freight forwarding services on shipments accepted by Respondent as a common carrier
- 9 Such tariffs stated, "[e]xcept as otherwise provided, compensation to a freight forwarder shall be one-and-one-fourth percent (1.25%) of the applicable freight rates and Outport Arbitraries to ports" named in said tariffs."
- 10 Such tariffs also stated that "[p]ursuant to the United States Tariff Act of 1986, Carriers shall pay freight forwarder compensation on all Bill of Lading charges when such compensation is claimed by an FMC Licensed Freight Forwarder which is also a Treasury Department Licensed Customs House Broker"
- 11 Such tariffs further provide that "[c]laims for freight forwarder compensation must be presented to the Carrier within six (6) months of the sailing of the vessel from the port at which the cargo in question was loaded."

B. COMPLAINANT FREIGHT FORWARDING

12. Beginning on or about March 25, 2015, Complainant performed freight forwarding services related to shipments of automobiles from the Ford Motor Company and its affiliated companies ("Ford") by, *inter alia*, arranging for shipment of such vehicles on vessels owned and/or operated by Respondent and/or its agents or affiliates.
13. On or about April 2, 2015, Complainant and Respondent entered into an Agreement in order to simplify the issuance of bills of lading for transportation of shipments from Ford by Complainant on Respondent's vessels ("the Agreement")
14. Though Respondent proposed a paragraph to the Agreement which would have waived any brokerage or freight forwarder compensation, Complainant expressly refused to include such a provision.
15. The Agreement included an integration clause that stated that "[t]his Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in writing signed by the party against whom enforcement is sought."
16. The freight forwarding services performed by Complainant included engaging, booking, securing, reserving, and/or contracting directly with Respondent and/or its agents for space aboard its/their vessels and/or confirmed availability of that space for Ford shipments.
17. Furthermore, Complainant prepared and processed the ocean bills of lading and related documents respective of Ford shipments placed on Respondent's vessels.
18. Complainant had no beneficial interest in any of the Ford shipments for which it performed freight forwarding services and for which it arranged shipment on Respondent's vessels.
19. At all relevant times, Complainant held a valid FMC license

- 20 To date, Complaint has provided freight forwarding services on hundreds of Ford shipments placed on Respondent's vessels, and continues to do so
- 21 The freight charges Respondent has received from Ford shipments placed on its vehicles as a result of Complainant's freight forwarding to date exceed \$20,000,000 00
22. To date, Respondent has provided no compensation to Complainant for any of the freight forwarding services performed on any of the Ford shipments placed on the vessels of Respondent and/or its agents or affiliates.

C. DEMANDS FOR COMEPENSATION

First Demand for Compensation

- 23 On or about September 24, 2015, Complainant, through the undersigned, served Respondent with a demand ("the First Demand") for freight forwarding compensation in the amount of **\$129,592.28**, plus 1.25% of any accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fees, and/or surcharges related to certain Ford shipments placed on Respondent's vessels, pursuant to the terms of Rule 9 of Respondent's applicable tariff, 46 CFR §§515 41, 515 42, and 46 U S C §§40904 and 41102 *et seq* (See Demand Letter dated September 24, 2015, **Attachment A**)
- 24 Enclosed with the First Demand was an executed Certification by Denise Traynor, Complainant's Chief Financial Officer, in compliance with the requirements of 46 CFR §515 42 and 46 U S C §40904 (See Certification of Denise Traynor dated September 24, 2015, **Attachment B**)
- 25 Also enclosed with the First Demand was a copy of Complainant's FMC Ocean Transportation Intermediary/Ocean Freight Forwarder License. (See FMC Ocean

Transportation Intermediary/Ocean Freight Forwarder License No 656F, **Attachment C**)

26 Also enclosed with the First Demand was a copy of Complainant's License for Customhouse Broker from the U S Treasury Department, Bureau of Customs. (See License for Customhouse Broker Serial No 1259, **Attachment D**)

27 Also enclosed with the First Demand were copies of all of the individual bills of lading for shipments for which Complainant sought compensation, along with reference charts for each shipments, and a separate summary of the applicable, total freight charges and freight forwarding charges for those bills of lading. (See Bills of Lading Reference Charts, **Attachment E**, and Summary of Charges, **Attachment F**)

28 Respondent subsequently denied Complainant's First Demand.

Second Demand for Compensation

29 On or about December 22, 2015, Complainant, again through the undersigned, served Respondent with a second demand for compensation ("the Second Demand") (See Demand Letter dated December 22, 2015, **Attachment G**)

30 The Second Demand included the previously demanded sum of \$129,592.28 and subsequent freight forwarding charges in the amount of **\$73,588.58**, for a total of **\$203,180.86**, together with 1.25% of any accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fees, and/or surcharges related to certain Ford shipments placed on Respondent's vessels not referenced in Complainant's First Demand.

31 All additional shipments for which freight forwarder compensation was sought in the Second Demand took place within 6 months of service of the Second Demand.

32. The Second Demand included an executed Certification by Denise Traynor, Complainant's Chief Financial Officer, in compliance with the requirements of 46 CFR §515.42 and 46 U.S.C. §40904 (See Certification of Denise Traynor dated December 15, 2015, **Attachment H**)
33. The Second Demand also included the FMC Ocean Transportation Intermediary/Ocean Freight Forwarder License and Customhouse Broker License already provided to Respondent in the First Demand.
34. The Second Demand also included copies of all of the individual bills of lading for shipments for which Complainant sought compensation (excluding the bills of lading included in the First Demand), along with reference charts for such shipments, and a separate summary of the applicable, total freight charges and freight forwarding charges for the bills of lading referenced in the Second Demand. (See Bills of Lading Reference Charts, **Attachment I**, and Summary of Charges, **Attachment J**)

Third Demand for Compensation

35. On or about January 13, 2016, Complainant, again through the undersigned, served Respondent with a third demand for compensation ("the Third Demand") (See Demand Letter dated January 12, 2016, **Attachment K**).
36. The Second Demand included the previously demanded sum of \$203,180.86 and subsequent freight forwarding charges in the amount of **\$49,596.03** for an updated total of **\$252,776.89**, together with 1.25% of any accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fees, and/or surcharges related to certain Ford shipments placed on Respondent's vessels not referenced in

Complainant's First or Second Demand.

37 All additional shipments for which freight forwarder compensation was sought in the Third Demand took place within 6 months of service of the Third Demand.

38 The Third Demand included an executed Certification by Denise Traynor, Complainant's Chief Financial Officer, in compliance with the requirements of 46 CFR §515.42 and 46 U.S.C. §40904 (See Certification of Denise Traynor dated January 13, 2016, **Attachment L**)

39 The Third Demand also included the FMC Ocean Transportation Intermediary/Ocean Freight Forwarder License and Customhouse Broker License already provided to Respondent in the First and Second Demand.

40 The Third Demand also included copies of all of the individual bills of lading for shipments for which Complainant sought additional compensation (excluding the bills of lading included in the First or Second Demand), along with reference charts for such shipments, and a separate summary of the applicable, total freight charges and freight forwarding charges for the bills of lading referenced in the Third Demand. (See Bills of Lading Reference Charts, **Attachment M**, and Summary of Charges, **Attachment N**)

41 To date, Respondent has yet to respond to Complainant's Second or Third Demand.

V. STATEMENT OF VIOLATIONS

42 Title 46 U.S.C. Section 41102 provides

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property

46 U S C §41102(c)

43 Title 46 U S C Section 40501 states

Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.

46 U S C §40501(a)(1) Section 40501 also states that “[a] tariff under subsection (a) shall state the level of compensation, if any, of any ocean freight forwarder by carrier or conference, ” 46 U S C. §40501(b)(3)

44 Title 46 U S C Section 40904 states that compensation to common carriers to ocean transportation intermediaries is appropriate “only when the ocean freight forwarder has certified in writing that it holds an ocean transportation intermediary’s license (if required under section 40901 of this title [46 U S C §40901]) and has (1) engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of that space; and (2) prepared and processed the ocean bill of lading, dock receipt, or other similar document for the shipment.” 46 U S C §40904(a) Section 40904 also states that “[a]n ocean freight forwarder may not receive compensation from a common carrier for a shipment in which the ocean freight forwarder has a direct or indirect beneficial interest.” 46 U S C §40904(c)

45 Title 46 CFR Section 515.42 provides.

When a common carrier's tariff provides for the payment of compensation, such compensation shall be paid on any shipment forwarded on behalf of others where the forwarder has provided a certification as prescribed in paragraph (c) of this section

46 CFR §515 42(b) Section 515 42 also provides.

When a licensed freight forwarder is entitled to compensation, the forwarder shall provide the common carrier with a certification which indicates that the forwarder has performed the required services that entitle it to compensation. The required certification may be provided electronically by the forwarder or may be placed on one copy of the relevant bill of lading, a summary statement from the forwarder, the forwarder's compensation invoice, or as an endorsement on the carrier's compensation check. Electronic certification must contain confirmations by the forwarder and the carrier identifying the shipments upon which forwarding compensation may be paid. Each forwarder shall retain evidence in its shipment files that the forwarder, in fact, has performed the required services enumerated on the certification. The certification shall read as follows

The undersigned hereby certifies that neither it nor any holding company, subsidiary, affiliate, officer, director, agent or executive of the undersigned has a beneficial interest in this shipment; that it is the holder of valid FMC License No 2, issued by the Federal Maritime Commission and has performed the following services

(1) Engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of that space; and

(2) Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.

46 CFR §515 42(c) Section 515 42 also provides.

No licensed freight forwarder, or employee thereof, shall accept compensation from a common carrier which is different from that specifically provided for in the carrier's effective tariff(s)

46 CFR §515 42(d). Section 515 42 also provides.

A licensed freight forwarder may not receive compensation from a common carrier with respect to any shipment in which the forwarder has a beneficial interest or with respect to any shipment in which any holding company, subsidiary, affiliate, officer, director, agent, or executive of such forwarder has a beneficial interest.

46 CFR §515 42(i).

46 Title 46 U S C Section 41305 states that if a Complaint is filed with the FMC "within the period specified in section 40301(a) of this title the Federal Maritime Commission shall

direct the payment of reparations to the complainant for actual injury caused by violation of this part [46 U S C §40101, *et seq*]” 46 U S C §41305 (b) Section 41305 also provides that prevailing parties may be awarded reasonable attorney fees in any action brought under section 41301 46 U S C §41305 (e)

47 Respondent has violated Title 46 U S C Section 41102 and Title 46 CFR Section 515.42 by refusing to compensate Complainant for the freight forwarding services performed on Ford shipments placed on vessels owned/and or operated by Respondent and/or its agents or affiliates, for which Respondent received freight charges, according to the terms of the Respondent’s applicable tariffs in effect when such shipments were made, and when demands were made by Complainant to Respondent for such compensation.

VI. DAMAGES

48 As a result of Respondent’s aforementioned and continuing violations of the Ocean Shipping Reform Act, Complaint has sustained, and continues to sustain, injuries and damages in excess of \$252,776.89

49 The total demand specified in the Third Demand of \$252,776.89 does not include all compensation owed by Respondent to Complainant as of January 13, 2016, as the Third Demand did not include all bills of lading for shipments processed prior to that date.

50 Furthermore, amount of damages sustained by Complaint continues to accrue as Complainant places further Ford Shipments on vessels owned and/or operated by Respondent and/or its agents or affiliates, and Respondent continues to withhold compensation owed to Complainant.

51 Complainant will supplement its claimed damages as further demands for compensation are

made upon Respondent.

VII. PRAYER FOR RELIEF

52. Statement regarding ADR procedures Alternative dispute resolution procedures were not used prior to filing this Complaint, and Complainant has not consulted with the Commission Dispute Resolution Specialist about utilizing alternative dispute resolution.

53 Complainant seeks an award of reparations of \$252,776 89 for actual injuries caused to it by Respondent as a result of the aforementioned violations, plus further amounts as may be demonstrated after further demands for compensation are made on Respondent as a result of the violations to the same applicable statutes and regulations.

54 Complainant also seeks an award of interest on all compensation owed to it by Respondent from the date any such compensation became due

55 Complainant also seeks an award for all reasonable attorney's fees related to bringing this Complaint.

56 Should evidence show that respondent has also violated Title 46 U S C §41103(3), Complaint seeks a payment of additional amounts, not exceeding twice the amount of any award for injuries.

57 Complainant requests that a hearing in this matter be held in Philadelphia, Pennsylvania, or, alternatively, in Washington, D C

58 Complainant seeks such other relief or award as the FMC shall determine.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date January 28 2016

By

Thomas J. Wagner, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel. 215 790 0761
PA Bar ID No 52876
Attorney for Complainant, D. F. Young, Inc

RESPONDENT'S NOTE:

The Complaint's Exhibits have been omitted from this EXHIBIT

NYK's MOV.
EXHIBIT B

CC: D
O
A
R

DOCKET NO.: 16-02

RESPONDENT

**Federal Maritime Commission
Office of the Secretary**

AMENDED VERIFIED ANSWER

PAGE RX-14

Respondent, NYK LINE (NORTH AMERICA) INC. ("Respondent"), files this Amended Verified Answer to the Verified Complaint of Complainant, D. F. YOUNG, INC., and alleges as follows:

I. COMPLAINANT

1. Denies knowledge or information sufficient to form a belief as to the truth of the allegations of para. 1.

2. Denies knowledge or information sufficient to form a belief as to the truth of the allegations of para. 2.

3. Denies knowledge or information sufficient to form a belief as to the truth of the allegations of para. 3.

4. Denies knowledge or information sufficient to form a belief as to the truth of the allegations of para. 4.

II. RESPONDENT

5. Admits the allegations of para. 5 except denies that it is organized or exists under the laws of the State of New York.

6. Admits that Nippon Yusen Kaisha is an ocean common carrier (VOCC) as defined and described in 46 U.S.C. §§ 40102(6) and 40102(17), as well as 46 C.F.R. §§ 515.26 and (I), and that Respondent is the U.S. representative of Nippon Yusen Kaisha in North America, and except as so admitted, denies the truth of the allegations of para. 6.

III. JURISDICTION

7. Denies the truth of the allegations of para. 7.

IV. STATEMENT OF FACTS AND MATTERS COMPLAINED OF

A. TARIFFS

8. Admits that Respondent had in effect its Tariff NYKS-156 and except as so admitted denies the truth of the allegations of para. 8.

9. Denies the truth of the allegation of para. 9 and specifically denies that the language quoted therein was ever in NYK Tariff NYKS-156.

10. Denies the truth of the allegation of para. 10 and specifically denies that the language quoted therein was ever in NYK Tariff NYKS-156.

11. Denies the truth of the allegation of para. 11 and specifically denies that the language quoted therein was ever in NYK Tariff NYKS-156.

B. COMPLAINANT FREIGHT FORWARDING

12. Denies the truth of the allegations of para. 12.

13. Admits that on or about April 2, 2015, Complainant and Respondent entered into an agreement to allow Complainant on behalf of Ford to print bills of lading remotely and except as so admitted denies the truth of the allegations of para. 13; and specifically denies that "transportation of shipments from Ford" was to be "by Complainant."

14. Admits that there were negotiations in regard to the Agreement and further admits that the Agreement sets forth the complete understanding of the parties, and except as so admitted denies the truth of the allegations of para. 14 and specifically denies that Respondent ever agreed to pay Complainant brokerage or freight forwarder compensation.

15. Admits that the Agreement included a clause which stated inter alia "this Agreement sets forth the complete understanding and agreement of the parties and can be amended only in writing signed by the party against whom enforcement is sought." Except as so admitted denies the truth of the allegations of para. 15.

16. Denies the truth of the allegations of para. 16 and specifically denies that Complainant performed any freight forwarding services on behalf of Respondent.

17. Admits that Complainant remotely printed bills of lading related to the 4 shipments on behalf of Ford and except as so admitted denies the truth of the allegations of para. 17.

18. Denies knowledge or information sufficient to form a belief as to the truth of allegations of para. 18.

19. Denies knowledge or information sufficient to form a belief as to the truth of allegations of para. 19.

20. Denies the truth of the allegations of para. 20 and specifically denies that the Complainant performed any freight forwarding services on behalf of Respondent in regard to the Ford shipments.

21. Denies the truth of the allegations of para. 21.

22. Admits that Respondent has provided no compensation to Complainant for freight forwarding services and except as so admitted denies the truth of the allegations of para. 22; and specifically denies that Complainant performed any freight forwarding services on behalf of Respondent.

C. DEMAND FOR COMPENSATION

First Demand for Compensation

23. Admits that on or about September 24, 2015, Complainant, through its counsel, served Respondent with a Demand ("The First Demand") for freight forwarding compensation in the amount of \$129,592.28 plus 1.25% of any accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fee and/or surcharges related to certain Ford shipments placed on Respondent's vessel pursuant to the terms of Rule 9 of Respondent's applicable tariff, 46 C.F.R §§ 515.41 515.42 and 46 U.S.C §§ 40904 and 41102 et seq., and except as so admitted denies the truth of the allegations of para. 22; and specifically denies that Complainant was entitled to such freight forwarding compensation.

24. Admits that a Certification by Denise Traynor was enclosed with the First Demand and except as so admitted denies the truth of the allegations of para. 24; and specifically denies that Complainant was entitled to freight forwarding compensation.

25. Admits that with the First Demand was Complainant's F.M.C. Ocean Transportation Intermediary/Ocean Freight Forwarder License and except as so admitted denies the truth of the allegations of para. 25; and specifically denies that Complaint was entitled to freight forwarder compensation.

26. Admits that a copy of Complainant's License for Customhouse Broker from the U.S. Treasury Department, Bureau of Customs was enclosed with the First Demand and except as so admitted denies the truth of the allegations of para. 26; and specifically denies that Complainant is entitled to freight forwarding compensation.

27. Admits that copies of individual bills of lading for shipments for which complainant sought compensation along with reference charts for each shipment and a

separate summary of the applicable total charges and freight forwarding charges for those bills of lading was enclosed with the First Demand and except as so admitted denies the truth of the allegations of para. 27; and specifically denies that Complainant was entitled to freight forwarding compensation.

28. Admits the truth of the allegations of para. 28.

Second Demand for Compensation

29. Admits that a Second Demand for Compensation was made by Complainant on or about December 22, 2015 and except as so admitted denies the truth of the allegations of para. 29; and specifically denies that Complainant was entitled to freight forwarding compensation.

30. Admits that the Second Demand included the previously demanded sum of \$129,592.28 and subsequent alleged freight forwarding charges in the amount of \$73,588.58 for a total of \$203,180.86 together with 1.25% of any accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fee and/or surcharges related to certain Ford shipments placed on Respondent's vessel not referenced in plaintiff's First Demand and except as so admitted denies the truth of the allegations of para. 30; and specifically denies that Complainant is entitled to such freight forwarding compensation since it did not perform freight forwarding services on behalf of Respondent.

31. Admits that all additional shipments for which freight forwarder compensation was sought in the Second Demand took place within 6 months of the service of the Second Demand and except as so admitted denies the truth of the allegations of para. 31; and specifically denies that Complainant is entitled to freight

forwarder compensation since it did not perform freight forwarding services on behalf of Respondent.

32. Admits that a Certification by Denise Traynor was enclosed with the Second Demand and except as so admitted denies the truth of the allegations of para. 27; and specifically denies that Complainant was entitled to freight forwarding compensation.

33. Admits that with the Second Demand was Complainant's F.M.C. Ocean Transportation Intermediary/Ocean Freight Forwarder and except as so admitted denies the truth of the allegations of para. 33; and specifically denies that Complaint was entitled to freight forwarder compensation.

34. Admits that copies of individual bills of lading for shipments for which Complainant sought compensation along with reference charts for each shipment and a separate summary of the applicable total charges and freight forwarding charges for those bills of lading was enclosed with the Second Demand and except as so admitted denies the truth of the allegations of para. 27; and specifically denies that Complainant was entitled to freight forwarding compensation.

Third Demand for Compensation

35. Admits that a Third Demand for Compensation was made by Complainant on or about January 13, 2016 and except as so admitted denies the truth of the allegations of para. 35; and specifically denies that Complainant was entitled to freight forwarding compensation.

36. Admits that the Third Demand included the previously demanded sum of \$203,180.86 and subsequent alleged freight forwarding charges in the amount of

\$49,596.03 for a total of \$252,776.89 together with 1.25% of any accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fee and/or surcharges related to certain Ford shipments placed on Respondent's vessel not referenced in plaintiff's First or Second Demand and except as so admitted denies the truth of the allegations of para. 36; and specifically denies that Complainant is entitled to such freight forwarding compensation since it did not perform freight forwarding services on behalf of Respondent.

37. Admits that all additional shipment which freight forwarder compensation was sought in the Third Demand took place within 6 months of the service of the Third Demand and except as so admitted denies the truth of the allegations of para. 37; and specifically denies that Complainant is entitled to freight forwarder compensation since it did not perform freight forwarding services on behalf of Respondent.

38. Admits that a Certification by Denise Traynor was enclosed with the Third Demand and except as so admitted denies the truth of the allegations of para. 38; and specifically denies that Complainant was entitled to freight forwarding compensation.

39. Admits that with the Third Demand was Complainant's F.M.C. Ocean Transportation Intermediary/Ocean Freight Forwarder and except as so admitted denies the truth of the allegations of para. 39 and specifically denies that Complaint was entitled to freight forwarder compensation.

40. Admits that copies of individual bills of lading for shipments for which Complainant sought compensation along with reference charts for each shipment and a separate summary of the applicable total charges and freight forwarding charges for those bills of lading was enclosed with the Third Demand and except as so admitted

denies the truth of the allegations of para. 40 and specifically denies that Complainant was entitled to freight forwarding compensation.

41. Admits the truth of the allegations of para. 41 but specifically denies that Complainant was entitled to freight forwarding compensation.

V. STATEMENT OF VIOLATIONS

42. Admits the truth of the allegations of para. 42 except denies that it violated the statute.

43. Admits the truth of the allegations of para. 43 except denies that it violated the statute.

44. Admits the truth of the allegations of para. 44 except denies that it violated the statute.

45. Admits the truth of the allegations of para. 45 except denies that it violated the regulation.

46. Admits the truth of the allegations of para. 46 except denies that it violated the statute.

47. Admits that it has refused to compensate the Complainant and except as so admitted denies the truth of the allegations of para. 47; and specifically denies that Complainant performed any freight forwarding service, that it was entitled to freight forwarding compensation, and that it violated the statute or regulation.

VI. DAMAGES

48. Denies the truth of the allegations of para. 48.

49. Denies knowledge or information sufficient to form a belief as to the truth of the allegations of para. 49.

50. Denies the truth of the allegations of para. 50.

51. Denies knowledge or information sufficient to form a belief as to the truth of the allegations of para. 51.

VII. PRAYER FOR RELIEF

52. Admits that ADR procedures were not used prior to filing of the Complaint and except as so admitted denies the truth of the allegations of para. 52.

53. Denies the truth of the allegations of para. 53.

54. Denies the truth of the allegations of para. 54.

55. Denies the truth of the allegations of para. 55.

56. Denies the truth of the allegations of para. 56.

57. Respondent requests that a hearing in this matter be held in the Metropolitan New York area, or alternatively, in Washington, D.C.

58. Denies the truth of the allegations of para. 58.

VIII. AFFIRMATIVE DEFENSES

First: The Complainant did not perform any freight forwarding services and is not entitled to any of the compensation it claims.

Second. The compensation claimed by Complainant would unjustly enrich it since Complainant performed no freight forwarding services.

Third: The compensation claimed by complainant is unsupported by consideration since Complainant performed no freight forwarding services.

Fourth: The shipments at issue in this case were Service Contract shipments, not tariff shipments and therefore do not qualify for freight forwarder compensation under 46 CFR 515.42 or otherwise. The Service Contract did not provide for freight forwarder compensation and neither incorporated nor was governed by any tariff provision providing for freight forwarder compensation.

Respondent asks that verified complaint be dismissed and that it be awarded its costs and disbursements incurred in the defense of this case.

Dated: White Plains, NY, September 30, 2016

Respectfully Submitted,
CICHANOWICZ CALLAN KEANE & D e MAY, LLP
50 Main Street, Rm. 1045, White Plains, NY 10606
Tel: (212) 344-7042 | Email: pkeane@cckd-ny.com
Attorneys for Respondent

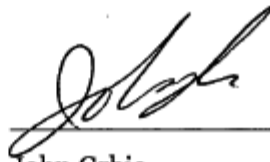
By: Paul M. Keane
Paul M. Keane

VERIFICATION

STATE OF NEW JERSEY, COUNTY OF HUDSON, SS.:

John Grbic, being duly sworn, deposes and says:

I am the Senior Director of Ro-Ro Trade for Respondent, NYK Line (North America) Inc. I have read the foregoing answer and know its contents. The same is true and correct to the best of my knowledge. As to those matters stated to be alleged on information and belief, I believe them to be true based upon facts, records, and/or other pertinent information in Respondent's files.

 9/30/16

John Grbic

Subscribed and sworn to

Before me on September 30, 2016

_____

HYUNAH K. CHUNG
NOTARY PUBLIC, State of New Jersey
No. 2417911
Qualified in Bergen County
My Commission Expires Feb. 28, 2017

NYK's MOV.
EXHIBIT C

Tariff: NYKS-156 (Worldwide Roll-on/Roll-off Cargo Tariff)
(Rule #009) Rule Name: Freight Forwarder Compensation

Compensation will be paid only to independent Ocean Freight Forwarders, licensed under Section 19(a) of the Shipping Act of 1984 and the rules and regulations promulgated pursuant to it, and only when such a forwarder certifies in writing, as specified in these rules and regulations, that it is so licensed and that it has complied with all the requirements of such Act and such rules and regulations. The compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate and Heavy Lift and Extra Length Charges, if applicable, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designated to cover specific costs. Compensation will not be paid on any shipment on which brokerage is payable.

When compensation is to be paid to a licensed Ocean Freight Forwarder who is also a licensed Customs House Broker, a commission as shown below will be paid on the aggregate of all rates and charges to be paid by the Shipper or the Consignee under the tariff. Bills of Lading submitted by such forwarders must show their Customs House Brokers and FMC license numbers.

Brokerage or compensation will be allowed to an Ocean Freight Forwarder or Freight Broker only on shipments where the name of the actual Shipper is disclosed on the shipper identification line appearing above the cargo description data of the ocean bill of lading, and, if the forwarder's name also appears on said Shipper identification line, it appears after the name of the actual Shipper and designated "as Agents" or "Agent".

Compensation and/or Brokerage may not be deducted from ocean freight and other charges due in accordance with the rates and conditions contained in this tariff.

Compensation will be paid to non-U.S. entities making cargo available to the Carrier for shipments from the U.S.

Compensation to be paid as per RATES OF COMPENSATION list in same section.

RATES OF COMPENSATION:

Compensation will be paid as follows:

2.50% on all shipments (See Exceptions)

EXCEPTIONS:

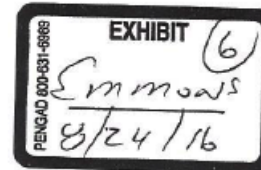
1) 1.25% on all Auto Manufacturers cargo

2) If a licensed Freight Forwarder is not involved with the shipment, then brokerage commission can be paid up to 10% of cargo value upon the discretion of Carrier.

3) \$70.00 per unit on pov cars/vans/suvs/light duty trucks not exceeding 2.4 meters in height destined to Countries in the Middle East and Africa

4) 3.0% on all other High Heavy Cargoes, Rolling Stock, Static destined to Countries in the Middle East and Africa

**NYK's MOV.
EXHIBIT D**



Transportation Services Main Agreement
Ocean Carrier- Finished Vehicles

This Agreement, effective January 1, 2013 is between Nippon Yusen Kabushiki Kaisha a Japanese corporation, with its principal place of business at Tokyo ("Carrier") and Ford Motor Company, a Delaware corporation with its principal place of business at One American Road, Dearborn, MI 48126 ("Ford" or "Shipper"). Shipper desires to purchase, and Carrier desires to sell, certain transportation services as further described in this Agreement:

1. PURCHASE AGREEMENT

The following attached Exhibits, along with their Appendices and the terms contained therein, shall constitute the terms and conditions of this Agreement:

- Exhibit 1: Ford Supplemental Ocean Carrier - Finished Vehicle Transportation Terms
- Exhibit 2: Ford Global Terms and Conditions for Non-Production Goods and Services (FGT30, Rev. 12/07)
- Exhibit 4: Description of Commodities and Estimated Volumes
- Exhibit 5: Rates and Charges
 - Appendix A: Ford Bunker Adjustment Program for Ocean Vehicle
- Exhibit 6: Payment Procedures
- Exhibit 7: Limit of Liability
- Exhibit 8: Survey and Claims Settlement
 - Appendix A: NAVL CLAIMS IT
- Exhibit 9: Performance Metrics
- Exhibit 10: Additional Clauses
- Exhibit 11: Carrier's Bill of Lading

2. ORDER OF PRECEDENCE

The terms and conditions contained herein shall take precedence over all Exhibits. In the event of conflict between the Exhibits, the order of precedence shall be in the same order as set forth in Section 1 above.

3. TERM

Subject to the termination provisions of this Agreement, the term of this Agreement shall commence on January 1, 2013 and expire on December 31, 2015.

4. NOTICES

Any notice required or permitted to be given in writing under this Agreement shall be considered as having been given if mailed by certified, registered, or express mail to the appropriate address shown below. A receipt showing the deposit of such notice shall be *prima facie* evidence of the giving thereof. Notification under this Agreement shall be given to the following:

If to Shipper:
Ford Motor Company
West Park Center MD 634, 425-G
5111 Auto Club Drive
Dearborn, MI 48126
Attn: Buyer, Global Ocean Logistics

If to Carrier:
Nippon Yusen Kabushiki Kaisha
Yusen Bldg., 3-2, Marunouchi
2-chome, Chiyoda-ku, Tokyo
100-0005, Japan
Attn: General Manager, Car Carrier Group

THE PARTIES INDICATE THEIR AGREEMENT TO THESE TERMS BY THEIR SIGNATURES BELOW:

Ford Motor Company
(Shipper)

By: Dave Frick

Print: Dave Frick

Title: Buyer

Date: 12/20/12

Carrier
(Carrier)

By: A. Kuroawa

Print: ATSUMIKO KUROAWA

Title: VICE PRESIDENT

Date: 12/20/2012

NYK00002

FORD MOTOR COMPANY SUPPLEMENTAL OCEAN CARRIER - FINISHED VEHICLE TRANSPORTATION TERMS
DESCRIPTION OF SERVICES: RATES: BILLING TERMS

These terms and conditions supplement the Ford Global Terms and Conditions for Non-Production Goods and Services (FGT30, Rev. 12/07), attached to this Agreement as Exhibit 2, which are incorporated herein by reference and super cede Sections 6, 7, 12, and 24 of Shipper's Global Terms to the extent specified by Shipper's Purchase Order or as set forth below. Sections 2, 3, 4, 5, 8, 10, 13, 14, 15, 17, 18, 30 and 31 of Shipper's Global Terms shall not apply to this Agreement. References to Purchase Orders in Exhibit 2 are intended to refer to this agreement and subsequent shipping instructions, defined by the Advance Shipping Notification (ASN) by Ford or its agents. References to "Seller" and "Buyer" in Exhibit 2 are intended to refer to "Carrier" and "Shipper."

1. **DESCRIPTION OF SERVICES:** Carrier shall provide to Shipper all services necessary to accomplish the transportation of unboxed passenger and commercial automotive vehicles by ocean vessel, as those services are further described herein and from and to such origin and destination locations as are described in Exhibit 5 (Ports, Loading and Discharge).
2. **APPLICATION:** The parties agree that this Agreement shall govern the rights and obligations of Carrier and Shipper with respect to the transport of Shipper's entire unloaded passenger and commercial automotive vehicles that are tendered by Shipper during the term of this Agreement, as those vehicles are described in Exhibit 4 (Commodities). A shipment shall be considered tendered to Carrier at the time that Carrier or its agent receives the vehicles at the point of final rest at the port of loading. Shipper reserves the right to amend Exhibit 4 from time to time, in Shipper's sole discretion.
3. **VOLUMES:** Shipper agrees to provide Carrier with regular forecasts of Commodities to be shipped. Shipper agrees to provide Carrier with 97% of the Commodities that it ships from discharge ports as outlined in Exhibit 5 during the term of this Agreement, unless Carrier is unable to provide frequency of service as outlined in Exhibit 5. Proof of such volume shall be Shipper's export declaration records. In the event that Carrier cannot service the volume, the Shipper will divert that volume and will not be charged against the 97% commitment. Volumes are estimated and will be revisited during the 3rd quarter of the prior year in order to update the carrier regarding fluctuations. Pricing agreed upon in Exhibit 5 is not contingent on volume fluctuations.
4. **RATES AND CHARGES:** (a) Subject to the terms and conditions of this Agreement, Shipper agrees to pay Carrier the rates and charges specified in Exhibit 5 (Rates and Charges) as complete compensation for the services provided by Carrier pursuant to this Agreement. All rates and charges shall be paid in U.S. dollars unless otherwise specified in Exhibit 5. If any local expenses in local currency need conversion to U.S. dollars, conversion should be performed as per instructions in Exhibit 6. No modifications or adjustments to such rates and charges shall be valid unless contained in a written and duly executed amendment to this Agreement.
 (b) Except as may otherwise be specified in Exhibit 5 (Rates and Charges), the rates and charges included in this Agreement are all-inclusive, and no bunker fuel, currency exchange, terminal handling, fees or charges of international governments, or any other charge or rule affecting such rates and charges, or any general rate increase, shall apply to commodities tendered by Shipper for transportation under this Agreement in the absence of Shipper's express written consent.
5. **CARRIER'S VESSELS:** All Commodities shall be shipped in Carrier owned or operated, time or space chartered/managed vessels which are to be of the ro/ro type capable of transporting Commodities with gasoline in tanks and batteries connected. Vessels must be Lloyds registered 100-A-1 or similar.
6. **SHIPMENT SCHEDULING:** (a) Vessels booked to the scheduled ETD as set forth in the Marine Shipping Schedule in effect on the date of the booking and placed no later than one day after such scheduled ETD shall be deemed on time and Carrier achieves at least a 95% on-time performance.
 (b) Vessels which arrive at destinations for which the cargo is scheduled within plus or minus one day from the ETA established in the most recent Marine Shipping Schedule shall be deemed to be on time and Carrier achieves at least 95% on-time performance.
7. **BILLS OF LADING; SHIPMENT RECORDS:** Carrier agrees to provide to Shipper a Bill of Lading showing the kind and quantity of Commodities received, transported, and delivered by Carrier. Except as may be required by applicable domestic or foreign law or when specified by Shipper, all Bills of Lading issued by Carrier for Commodities tendered under this Agreement shall not disclose the freight and other charges unless directed otherwise by the Shipper, if any, applicable to said shipments. The shipment records to support this Agreement shall consist of copies of the Bills of Lading issued for the shipments tendered hereunder and any Force Majeure correspondence and notices, which records shall be maintained by Carrier for three years from the date of shipment. In the event of a conflict between the terms and conditions of Carrier's Bill Of Lading and this Agreement, the terms of this Agreement shall control.

NYK00003

8. **CARRIER LIABILITY:** Except as otherwise specified in this Agreement, Carrier's liability for loss or damage to Shipper's Commodities shall be determined in accordance with the terms and conditions of Exhibit 7 (Limit of Liability). Shipper shall provide Carrier with written notice of any claim for loss, damage, delay or misdelivery within one (1) year of delivery or, in the case of Carrier's failure to make delivery, within one (1) year after intended date of delivery a reasonable time for delivery has elapsed. Carrier shall provide Shipper with written notice of any claim for undercharges or other related billing adjustments within one (1) year of delivery of commodities. Carrier shall not commence legal action against Shipper to recover any undercharges or related billing adjustments after two (2) years from the time of delivery or the date that the commodities should have been delivered. Section 12 of Exhibit 2 shall not apply in determining liability for loss, damage, delay or misdelivery of any vehicle transported but shall only apply to determining Carrier's liability as to personal injuries and/or property damages, other than damages to vehicles while being transported.

9. **NO LIEN - WORKING GROUP:** Carrier shall have no lien, and hereby waives its right to any lien, upon any shipment or portion thereof. Carrier will assign to Shipper any claims Carrier has against third parties with respect to Shipper's Commodities. Upon request, Carrier will cooperate with Shipper's removal of the Commodities from Carrier's premises or vessels.

10. **PERFORMANCE METRICS:** In addition to Shipper's termination rights as contained in this Agreement, Shipper shall have the right to terminate this Agreement by providing 90 days written notice to Carrier if Carrier fails to achieve 97% on time delivery status and/or 99.5% damage free rating over a 6 month reporting period in accordance with terms and conditions in Exhibit 9.

11. **SURVEY AND CLAIMS SETTLEMENT:** Joint surveys by a mutually agreed surveyor will be performed at the last point of final rest in Port of Loading and at first point final rest in Port of Discharge. The survey will be performed in line with the requirements stated in Exhibit 8 of this Agreement, with reference to the Ford Motor Company International Transportation Inspection Standards & Procedures Manual. The surveyor costs will be borne by Carrier, unless otherwise indicated. The Commodities will be surveyed as soon as possible after discharge, but under no circumstance, longer than twenty-four (24) hours after discharge (weekends and holidays excluded). Under no circumstance will Commodities be moved from first point of rest prior to survey. All surveys must "clearly" represent all exceptions, noted in English.

12. **INSURANCE:** The Carrier shall, at its own expense, provide and maintain insurance on or with respect to the Vessels and the operation thereof,

(1) Marine navigating risk hull and machinery insurance and marine war navigating risk hull and machinery insurance, together with, at the Owner's option, such amounts of increased value and total loss only insurance as are permitted by such hull and machinery insurance policies. The foregoing insurance shall be in aggregate amounts equal at all times to the aggregate fair market value of the Vessels. Such insurance shall be maintained in the broadest forms substantially equivalent to the coverage carried by other responsible and experienced companies engaged in operation of vessels similar to the Vessels, and shall be placed with underwriters of recognized standing (having a rating of not less than A- VI from A.M. Best & Co. or the equivalent rating from Standard & Poor's Ratings Services or Moody's Investors Service).

(2) Marine and war risk, full form protection and indemnity insurance with a member of the International Group Association of Protection and Indemnity Clubs (the "IGA Clubs") or, in the case of primary war risk, with insurers of recognized standing (having a rating of not less than A- VI from A.M. Best & Co. or the equivalent rating from Standard & Poor's Ratings Services or Moody's Investors Service). Such protection and indemnity insurance shall be maintained in the broadest forms generally available and shall include a cross liability endorsement, if obtainable. The Owner shall have the right to carry, for its own benefit, excess protection and indemnity insurance and marine multi-liability insurance.

(3) Insurance against liability under law or international convention arising out of pollution, spillage or leakage in an amount not less than (a) the maximum amount available, as that amount may from time to time change, from the IGA Clubs or alternatively such sources of pollution, spillage or leakage coverage as are commercially available in any absence of such coverage by the IGA Clubs as shall be carried by prudent ship-owners for similar vessels engaged in similar trades plus amounts available from customary excess insurers of such risks as excess amounts, if any, as shall be carried by prudent ship-owners for similar vessels engaged in similar trades. In each case to the extent commercially available and carried by other responsible and experienced companies engaged in the operation of vessels similar to the Vessels.

(4) To the extent obtainable, cargo liability insurance with one of the IGA Clubs or with insurers of recognized standing (having a rating of not less than A- VI from A.M. Best & Co. or the equivalent rating from Standard & Poor's Rating Services or Moody's Investors Service) under forms of policies at least equivalent to the coverage carried by other responsible and experienced companies engaged in operation of vessels similar to the Vessels.

13. **CARRIER DOCUMENTS: ENTIRE AGREEMENT:** With the exception of Carrier's Bill of Lading, this Agreement supersedes all tariffs, schedules, price lists, and other documents published or maintained by Carrier and only those terms and provisions of such documents that are expressly incorporated into the Agreement in a writing signed by both parties shall apply to shipments transported under the Agreement. This Agreement, together with all Exhibits, Appendices or Attachments, which are hereby incorporated by reference, constitutes the entire understanding of the parties in connection with its subject matter and supersedes any prior agreement in the subject matter herein. This Agreement may not be waived, altered, modified or amended except by a written instrument, duly executed by all the parties to this Agreement. Any

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provision of this Agreement which is prohibited or unenforceable in a jurisdiction is, as to that jurisdiction, ineffective to the extent of the prohibition or unenforceability without invalidating the remaining provisions of this Agreement, and the prohibition or unenforceability in a jurisdiction does not invalidate or render unenforceable that provision in any other jurisdiction.

14. MISCELLANEOUS: (a) If Services include water transportation in the United States, then Shipper and Carrier agree that the Agreement shall be entered into under 49 U.S.C. 14101(b). Shipper and Carrier expressly waive any and all rights and remedies that are provided under Part B of Subtitle IV of Title 49, United States Code, except where otherwise prohibited by law or provided herein.

(b) If this Agreement is terminated for any reason prior to the completion of its term, commodities previously tendered by Shipper under this Agreement shall not be re-rated under Carrier's published tariffs as a result of early termination of this Agreement.

15. ANSI X12 DATA TRANSACTION SETS: Carrier must have the electronic capability to interface with Shipper's designated freight forwarder with capability of receiving/sending the following ANSI X12 data transaction sets:

300	Booking Request
301	Booking Confirmation
304	Shipping Instruction
310	Ocean Bill of Lading
315	Cargo Status

16. WORKING GROUP: The parties understand that disagreements may arise with respect to the interpretation and enforcement of this Agreement, and expect that few, if any, of these issues will be beyond the parties' ability to resolve amicably without resorting to formal dispute resolution proceedings. As required, the parties agree to establish a working group (the "Working Group") composed of representatives designated by each party that will meet on a quarterly basis during the term of this Agreement to review areas of disagreement and discuss issues of interpretation and enforcement. Such representatives are expected to comprise individuals with decision-making authority who will work together to resolve any disagreements or issues. The parties agree to arrange meetings between Shipper's Director of Transportation Purchasing and Carrier's Vice President, Program Management, Ford as required from time to time to review issues or disagreements that the Working Group has been unable to resolve during the prior calendar quarter. Shipper's Director of Transportation Purchasing and Carrier's Global Account Manager shall be charged with responsibility to review the Working Group's efforts and negotiate a resolution acceptable to both parties. The parties agree not to resort to the dispute resolution proceedings described in Section 26 of Exhibit 2 to this Agreement unless the above procedures have been followed.

17. TERMINATION BY SELLER: Carrier may terminate this Agreement upon ninety (90) days written notice if Shipper breaches any material obligation of the Agreement which breach is not excused by the provisions of an Excusable Delay under Section 22 of Exhibit 2 and Shipper has not cured the breach within thirty (30) days after receiving notice of the breach. Carrier's termination hereunder shall be without penalty. Upon delivery of the notice of Carrier's termination, Carrier, unless otherwise directed by Shipper, will deliver all of Shipper's shipments that are in Carrier's possession and Shipper will pay Carrier for those services and all other services satisfactorily performed by Carrier for which Shipper has not made payment.

18. INFRINGEMENT: Carrier at its expense will indemnify and hold Shipper harmless with respect to every claim that may be brought against Shipper for any alleged infringement of any present or future patent, copyright, or other proprietary right based on Carrier's services under this agreement. Carrier will investigate and defend or otherwise handle every such claim, and at Shipper's request, assist Shipper in Shipper's investigation, defense or handling of any such claim. Carrier will pay all expenses and damages or settlement amounts that Shipper and others using Carrier's services may sustain by reason of each such indemnified claim. Carrier agrees to protect the confidentiality of all information acquired or developed by Carrier in the course of performance of services under this Agreement using the same standard of care that Carrier would use in protecting the confidentiality of its own confidential information.

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[Service Contract Exhibit 2]

pute has not been resolved within 60 days after the end of the mediation period
(b) litigation may be initiated, unless the parties agree to arbitration under
tion, the parties agree that the litigation will be filed only in the courts of the
Buyer has its principal place of business, regardless of where the Seller may be
Supplies may have been designed, manufactured, sold or delivered, unless the applicable
Dispute Resolution Web-Guide provide otherwise.

Place of Business in the U.S. If the principal place of business of the Buyer is in the United States, each party will, in any litigation brought under Section 26 (d):
(i) Irrevocably submit to the exclusive jurisdiction of: (1) the United States District Court for the Eastern District of Michigan, Southern Division in Detroit, as to any claim or proceeding over which it may have jurisdiction; or, (2) the Circuit Court for the County of Oakland, Michigan (6th Circuit – Pontiac) as to all other claims or proceedings;
(ii) Expressly waive any objection to venue or jurisdiction, including an objection based on the inconvenience of the forum; and
(iii) Not seek or accept any award of punitive, exemplary or multiple damages other than a right to recover them under the indemnification provisions in Section 12.

(f) **Principal Place of Business Outside the U.S.** If the principal place of business of the Buyer is outside of the United States, the applicable provisions of the Dispute Resolution Web-Guide may require binding arbitration in place of litigation, and will describe the jurisdiction and venue for any litigation. See the Dispute Resolution Web-Guide.

(g) **Governing Law.** The Purchase Order will be governed by the laws of the Buyer's principal place of business without regard to any conflict of laws provisions that might otherwise apply. If the Buyer is located in the United States, its principal place of business will be deemed to be the state of Michigan. The United Nations Convention on Contracts for the International Sale of Goods is expressly excluded.

(h) **Effect on Buyer's Rights.** The dispute resolution processes specified in Sections 26 (a) through 26 (d) are not preconditions to the exercise by the Buyer of any of its rights or remedies under the Purchase Order or applicable law, including its rights under Section 9 (b). The Buyer's exercise of its rights will not, however, affect either party's obligations to comply with the requirements of this Section 26.

27. CONTINUING OBLIGATIONS: SEVERABILITY

(a) **Continuing Obligations.** The obligations of the Buyer and the Seller under the following Sections will survive the expiration, non-renewal or termination of the Purchase Order: 4, 9, 11, 12, 13, 14, 15, 16, 17, 18, 20, 24, 26, 30, 31

(b) **Severability.** Any term or condition that is declared unlawful or unenforceable by a court of competent jurisdiction will not apply. The unenforceability of any such term or condition will not affect the enforceability of any other term or condition.

28. NO THIRD-PARTY RIGHTS

Except as expressly provided in the Global Terms and Conditions, no term, condition or right in or arising under any of the documents or Web-Guides relating to the purchase of the Supplies gives or creates any third-party beneficiary rights or any other rights whether in law or equity to any person or entity other than the Buyer, the Seller and their Related Companies.

29. BASIC WORKING CONDITIONS AND EMPLOYMENT STATUS

(a) **Basic Working Conditions.** When the Seller performs work on the Supplies or their component parts and /or provides Services, the Seller will not: (i) use forced labor, regardless of its form; (ii) employ any person below the age of 15, unless it is part of a government approved job training, apprenticeship or

RATES AND CHARGES

Wharfage and Terminal or Handling charges normally assessed by the Carrier at the Port of Loading are included in the below rates.

Ocean Freight:

Rates are in U. S. Dollars.

Agreed upon rates are included in the attached rate sheets saved as: "_____xis". The Carrier will provide sailings per month "Routing (ports), Frequency, Estimated Transit (performance measurable)" as shown in the said attached rate sheet.

Final invoice should be sent to:

For E&G:

Ford Motor Company
Fairlane Business Park III
1555 Fairlane Drive
Allen Park, MI 48101

All original freight bills must be submitted to the designated payment address for Ford within 30 days from date of sailing. This does not apply to balance due bills or to certified copies of past due freight bills.

During contract period, all new models in the same route (port to port) will be priced in accordance with similar sized vehicles previously quoted for that route.

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OCEAN VEHICLE BUNKER ADJUSTMENT PROGRAM
APPENDIX A of EXHIBIT 5 OF TRANSPORTATION SERVICES MAIN AGREEMENT
FOR OCEAN VEHICLES

This document outlines the Ocean Vehicle Bunker Adjustment Program agreement between Ford Motor Company ("Ford") and the co-signed to this agreement, from which Ford procures ocean vehicle shipments. (Applicable per trades specified in Exhibit 5 of global contract)

Bunker Adjustment Program:

- **Contract Terms:**
 - o The Ocean Vehicle Bunker Adjustment Program will apply for the life of the contract
 - o The Program is only applicable to lanes specified in Exhibit 5 of the Transportation Services Main Agreement for Ocean Carriers – Finished Vehicles
- **Frequency:**
 - o Adjustments for the Ocean Vehicle Bunker Adjustment Program will be effective on the following dates:
 - January 1
 - April 1
 - July 1
 - October 1
- **Process:**
 - o The bunker adjustment employed will be based on the average cost per metric ton of IFO 380 CST in Rotterdam, Singapore and New York as indicated at: www.bunkerworld.com/markets/prices/US/ for the reporting period
 - o The starting index range for the Ocean Vehicle Bunker Adjustment for the Ocean Vehicle contracts will be between \$300 - \$349 per metric ton
 - o No bunker adjustment will apply when IFO 380 CST is within the \$300 - \$349 per metric ton band
 - o When bunker prices fall below the index range of \$300 - \$349 per metric ton, a reduction will apply of \$0.23 per CBM for every \$10 decrease in the index price
 - o When bunker prices rise above the index range of \$300 - \$349 per metric ton, an increase will apply of \$0.23 per CBM for every \$10 increase in the index price
 - o The bunker adjustment will be based on the average price of IFO 380 CST at the three ports in the applicable reporting period (ending 15 days prior to the effective date)
 - o The bunker adjustment will be valid for three months until the new adjustment takes place
 - o The Ocean Vehicle Bunker Adjustment will be communicated prior to the effective date of each adjustment:

<u>Reporting Period</u>	<u>Effective Date of Adjustment</u>
September 16 – December 15	January 1
December 16 – March 15	April 1
March 16 – June 15	July 1
June 16 – September 15	October 1

 - o The Ocean Vehicle Bunker Adjustment will move up or down depending on the result of the average cost over the three month period and where the average lies on the program table.
 - o Adjustment amounts will be rounded up or down to the nearest penny
 - o Flat rates will be converted based on estimated size of vehicle in contract, adjusted quarterly per program change



OCEAN VEHICLE BUNKER ADJUSTMENT PROGRAM
APPENDIX A of EXHIBIT 5 OF TRANSPORTATION SERVICES MAIN AGREEMENT
FOR OCEAN VEHICLES

FORD BAF TABLE

Bunker Price per Metric Ton (USD)	Adjustment per Cube (\$/23)
\$260 - \$269.99	\$ (0.92)
\$270 - \$279.99	\$ (0.69)
\$280 - \$289.99	\$ (0.46)
\$290 - \$299.99	\$ (0.23)
\$300 - \$349.99	\$ -
\$350 - \$359.99	\$ 0.23
\$360 - \$369.99	\$ 0.46
\$370 - \$379.99	\$ 0.69
\$380 - \$389.99	\$ 0.92
\$390 - \$399.99	\$ 1.15
\$400 - \$409.99	\$ 1.38
\$410 - \$419.99	\$ 1.61
\$420 - \$429.99	\$ 1.84
\$430 - \$439.99	\$ 2.07
\$440 - \$449.99	\$ 2.30
\$450 - \$459.99	\$ 2.53
\$460 - \$469.99	\$ 2.76
\$470 - \$479.99	\$ 2.99
\$480 - \$489.99	\$ 3.22
\$490 - \$499.99	\$ 3.45
\$500 - \$509.99	\$ 3.68
\$510 - \$519.99	\$ 3.91
\$520 - \$529.99	\$ 4.14
\$530 - \$539.99	\$ 4.37
\$540 - \$549.99	\$ 4.60
\$550 - \$559.99	\$ 4.83
\$560 - \$569.99	\$ 5.06
\$570 - \$579.99	\$ 5.29
\$580 - \$589.99	\$ 5.52
\$590 - \$599.99	\$ 5.75
\$600 - \$609.99	\$ 5.98
\$610 - \$619.99	\$ 6.21
\$620 - \$629.99	\$ 6.44
\$630 - \$639.99	\$ 6.67
\$640 - \$649.99	\$ 6.90
\$650 - \$659.99	\$ 7.13
\$660 - \$669.99	\$ 7.36
\$670 - \$679.99	\$ 7.59
\$680 - \$689.99	\$ 7.82
\$690 - \$699.99	\$ 8.05
\$700 - \$709.99	\$ 8.28
\$710 - \$719.99	\$ 8.51
\$720 - \$729.99	\$ 8.74

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OCEAN VEHICLE BUNKER ADJUSTMENT PROGRAM
APPENDIX A of EXHIBIT 5 OF TRANSPORTATION SERVICES MAIN AGREEMENT
FOR OCEAN VEHICLES

- Invoicing:
 - Throughout the duration of the Ocean Vehicle Bunker Adjustment Program, ocean carriers should continue to invoice the appropriate pay address specified in the Transportation Services Main Agreement for Ocean Carriers – Finished Vehicles
 - All adjustments will be communicated by Ford to freight payment locations and carriers on the 16th of the month prior to the effective date of the adjustment.

Carriers have the option of waiving the Ford Ocean Vehicle Bunker Adjustment Program and quoting "all in" rates which will not be eligible for bunker adjustment for the duration of the contract.

In the event of circumstances unforeseen concerning Bunker Fuel cost, both the "shipper" and the "carrier" reserve the right to meet to discuss future opportunities.

Originator: jwhite/kwhite
Ford Global Ocean Vehicle Bunker Adjustment Program 2012.doc

Page 3 of 3

Date Issued: 5/14/09
Date Revised: 07/16/2012

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NYK's MOV.
EXHIBIT E

**Transportation Services Main Agreement
Ocean Carrier- Finished Vehicles**

This Agreement, effective January 1, 2016 is between Nippon Yusen Kabushiki Kaisha a Japanese corporation, with its principal place of business at Tokyo ("Carrier") and Ford Motor Company, a Delaware corporation with its principal place of business at One American Road, Dearborn, MI 48126 ("Ford" or "Shipper"). Shipper desires to purchase, and Carrier desires to sell, certain transportation services as further described in this Agreement.

1. PURCHASE AGREEMENT

The following attached Exhibits, along with their Appendices and the terms contained therein, shall constitute the terms and conditions of this Agreement:

- Exhibit 1: Ford Supplemental Ocean Carrier - Finished Vehicle Transportation Terms
- Exhibit 2: Ford Global Terms and Conditions for Non-Production Goods and Services (FGT30, Rev. 12/07)
- Exhibit 4: Description of Commodities and Estimated Volumes
- Exhibit 5: Rates and Charges
 - Appendix A: Ford Bunker Adjustment Program for Ocean Vehicle
- Exhibit 6: Payment Procedures
- Exhibit 7: Limit of Liability
- Exhibit 8: Survey and Claims Settlement
 - Appendix A: NAVL IT
- Exhibit 9: Performance Metrics
- Exhibit 10: Additional Clauses
- Exhibit 11: Carrier's Bill of Lading

2. ORDER OF PRECEDENCE

The terms and conditions contained herein shall take precedence over all Exhibits. In the event of conflict between the Exhibits, the order of precedence shall be in the same order as set forth in Section 1 above.

3. TERM

Subject to the termination provisions of this Agreement, the term of this Agreement shall commence on January 1, 2016 and expire on December 31, 2018.

4. NOTICES

Any notice required or permitted to be given in writing under this Agreement shall be considered as having been given if mailed by certified, registered, or express mail to the appropriate address shown below. A receipt showing the deposit of such notice shall be *prima facie* evidence of the giving thereof. Notification under this Agreement shall be given to the following:

If to Shipper:
Ford Motor Company
West Park Center MD 634, 428-G
5111 Auto Club Drive
Dearborn, MI 48126
Attn: Buyer, Global Ocean Logistics

If to Carrier:
Nippon Yusen Kabushiki Kaisha
Yusen Bldg., 3-2, Marunouchi
2-chome, Chiyoda-ku, Tokyo
100-0005, Japan
Attn: General Manager, Car Carrier Group

THE PARTIES INDICATE THEIR AGREEMENT TO THESE TERMS BY THEIR SIGNATURES BELOW:

Ford Motor Company
(Shipper)
By: [Signature]
Print: JOHN HUBBARD
Title: BUYER
Date: 17 SEP 2015

Carrier
(Carrier)
By: [Signature]
Print: Tomohiro Hosaka
Title: VP RoRo Div
Date: 8/19/2015



NYK55305

**Transportation Services Main Agreement
Ocean Carrier- Finished Vehicles**

This Agreement, effective January 1, 2016 is between Nippon Yusen Kabushiki Kaisha a Japanese corporation, with its principal place of business at Tokyo ("Carrier") and Ford Motor Company, a Delaware corporation with its principal place of business at One American Road, Dearborn, MI 48126 ("Ford" or "Shipper"). Shipper desires to purchase, and Carrier desires to sell, certain transportation services as further described in this Agreement:

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- Exhibit 2: Ford Global Terms and Conditions for Non-Production Goods and Services (FGT30, Rev. 12/07)
- Exhibit 4: Description of Commodities and Estimated Volumes
- Exhibit 5: Rates and Charges
 - Appendix A: Ford Bunker Adjustment Program for Ocean Vehicle
- Exhibit 6: Payment Procedures
- Exhibit 7: Limit of Liability
- Exhibit 8: Survey and Claims Settlement
 - Appendix A: NAVL IT
- Exhibit 9: Performance Metrics
- Exhibit 10: Additional Clauses
- Exhibit 11: Carrier's Bill of Lading

2. ORDER OF PRECEDENCE

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4. NOTICES

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If to Shipper:
Ford Motor Company
West Park Center MD 634, 426-G
5111 Auto Club Drive
Dearborn, MI 48126
Attn: Buyer, Global Ocean Logistics

If to Carrier:
Nippon Yusen Kabushiki Kaisha
Yusen Bldg., 3-2, Marunouchi
2-chome, Chiyoda-ku, Tokyo
100-0005, Japan
Attn: General Manager, Car Carrier Group

THE PARTIES INDICATE THEIR AGREEMENT TO THESE TERMS BY THEIR SIGNATURES BELOW:

**Ford Motor Company
(Shipper)**

By: _____

Print: _____

Title: _____

Date: _____

**Carrier
(Carrier)**

By: J. I. Lark

Print: Tomohiro Hosaka

Title: VP RoRo Div

Date: 8/19/2015

NYK55306

FORD MOTOR COMPANY SUPPLEMENTAL OCEAN CARRIER - FINISHED VEHICLE TRANSPORTATION TERMS
DESCRIPTION OF SERVICES; RATES; BILLING TERMS

These terms and conditions supplement the Ford Global Terms and Conditions for Non-Production Goods and Services (FGT30, Rev. 12/07), attached to this Agreement as Exhibit 2, to the extent specified by Shipper's Purchase Order or as set forth below. Sections 2, 3, 4, 5, 8, 10, 13, 14, 15, 17, 18, 30 and 31 of Shipper's Global Terms shall not apply to this Agreement. References to Purchase Orders in Exhibit 2 are intended to refer to this agreement and subsequent shipping instructions, defined by the Advance Shipping Notification (ASN) by Ford or its agents. References to "Seller" and "Buyer" in Exhibit 2 are intended to refer to "Carrier" and "Shipper."

1. **DESCRIPTION OF SERVICES:** Carrier shall provide to Shipper all services necessary to accomplish the transportation of unboxed passenger and commercial automotive vehicles by ocean vessel, as those services are further described herein and from and to such origin and destination locations as are described in Exhibit 5 (Ports, Loading and Discharge).
2. **APPLICATION:** The parties agree that this Agreement shall govern the rights and obligations of Carrier and Shipper with respect to the transport of Shipper's entire unloaded passenger and commercial automotive vehicles that are tendered by Shipper during the term of this Agreement, as those vehicles are described in Exhibit 4 (Commodities). A shipment shall be considered tendered to Carrier at the time that Carrier or its agent receives the vehicles at the point of final rest at the port of loading. Shipper reserves the right to amend Exhibit 4 from time to time, in Shipper's sole discretion.
3. **VOLUMES:** Shipper agrees to provide Carrier with regular forecasts of Commodities to be shipped. Shipper agrees to provide Carrier with 97% of the Commodities that are allocated to Carrier in Exhibit 5 during the term of this Agreement, unless Carrier is unable to provide frequency of service as outlined in Exhibit 5. Proof of such volume shall be Shipper's export declaration records. In the event that Carrier cannot service the volume, the Shipper will divert that volume and will not be charged against the 97% commitment. Volumes are estimated and will be revisited during the 3rd quarter of the prior year in order to update the carrier regarding fluctuations. Pricing agreed upon in Exhibit 5 is not contingent on volume fluctuations.
4. **RATES AND CHARGES:** (a) Subject to the terms and conditions of this Agreement, Shipper agrees to pay Carrier the rates and charges specified in Exhibit 5 (Rates and Charges) as complete compensation for the services provided by Carrier pursuant to this Agreement. All rates and charges shall be paid in U.S. dollars unless otherwise specified in Exhibit 5 if any local expenses in local currency need conversion to U.S. dollars, conversion should be performed as per instructions in Exhibit 6. No modifications or adjustments to such rates and charges shall be valid unless contained in a written and duly executed amendment to this Agreement.
 (b) Except as may otherwise be specified in Exhibit 5 (Rates and Charges), the rates and charges included in this Agreement are all-inclusive, and no bunker fuel, currency exchange, terminal handling, fees or charges of International governments, or any other charge or rule affecting such rates and charges, or any general rate increase, shall apply to commodities tendered by Shipper for transportation under this Agreement in the absence of Shipper's express written consent.
5. **CARRIER'S VESSELS:** All Commodities shall be shipped in Carrier owned or operated, time or space chartered/managed vessels which are to be of the ro-ro type capable of transporting Commodities with gasoline in tanks and batteries connected. Vessels must be Lloyd's registered 100-A-1 or similar.
6. **SHIPMENT SCHEDULING:** (a) Vessels booked to the scheduled ETD as set forth in the Marine Shipping Schedule in effect on the date of the booking and placed no later than one day after such scheduled ETD shall be deemed on time and Carrier achieves at least a 95% on-time performance.
 (b) Vessels which arrive at destinations for which the cargo is scheduled within plus or minus one day from the ETA established in the most recent Marine Shipping Schedule shall be deemed to be on time and Carrier achieves at least 95% on-time performance.
7. **BILLS OF LADING; SHIPMENT RECORDS:** Carrier agrees to provide to Shipper a Bill of Lading showing the kind and quantity of Commodities received, transported, and delivered by Carrier. Except as may be required by applicable domestic or foreign law or when specified by Shipper, all Bills of Lading issued by Carrier for Commodities tendered under this Agreement shall not disclose the freight and other charges unless directed otherwise by the Shipper, if any, applicable to said shipments. The shipment records to support this Agreement shall consist of copies of the Bills of Lading issued for the shipments tendered hereunder and any Force Majeure correspondence and notices, which records shall be maintained by Carrier for three years from the date of shipment. In the event of a conflict between the terms and conditions of Carrier's Bill of Lading and this Agreement, the terms of this Agreement shall control.

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8. **CARRIER LIABILITY:** Except as otherwise specified in this Agreement, Carrier's liability for loss or damage to Shipper's Commodities shall be determined in accordance with the terms and conditions of Exhibit 7 (Limit of Liability). Shipper shall provide Carrier with written notice of any claim for loss, damage, delay or misdelivery within one (1) year of delivery or, in the case of Carrier's failure to make delivery, within one (1) year after intended date of delivery a reasonable time for delivery has elapsed. Carrier shall provide Shipper with written notice of any claim for undercharges or other related billing adjustments within one (1) year of delivery of commodities. Carrier shall not commence legal action against Shipper to recover any undercharges or related billing adjustments after two (2) years from the time of delivery or the date that the commodities should have been delivered. Section 12 of Exhibit 2 shall not apply in determining liability for loss, damage, delay or misdelivery of any vehicle transported but shall only apply to determining Carrier's liability as to personal injuries and/or property damages, other than damages to vehicles while being transported.

9. **NO LIEN - WORKING GROUP:** Carrier shall have no lien, and hereby waives its right to any lien, upon any shipment in portion thereof. Carrier will assign to Shipper any claims Carrier has against third parties with respect to Shipper's Commodities. Upon request, Carrier will cooperate with Shipper's removal of the Commodities from Carrier's premises or vessels.

10. **PERFORMANCE METRICS:** In addition to Shipper's termination rights as contained in this Agreement, Shipper shall have the right to terminate this Agreement by providing 90 days written notice to Carrier if Carrier fails to achieve 97% on time delivery status and/or 99.5% damage free rating over a 6 month reporting period in accordance with terms and conditions in Exhibit 9.

11. **SURVEY AND CLAIMS SETTLEMENT:** Joint surveys by a mutually agreed surveyor will be performed at the last point of final rest in Port of Loading and at first point final rest in Port of Discharge. The survey will be performed in line with the requirements stated in Exhibit 8 of this Agreement, with reference to the Ford Motor Company International Transportation Inspection Standards & Procedures Manual. The surveyor costs will be borne by Carrier, unless otherwise indicated. The Commodities will be surveyed as soon as possible after discharge, but under no circumstance, longer than twenty-four (24) hours after discharge (weekends and holidays excluded). Under no circumstance will Commodities be moved from first point of rest prior to survey. All surveys must "clearly" represent all exceptions, noted in English.

12. **INSURANCE:** The Carrier shall, at its own expense, provide and maintain insurance on or with respect to the Vessels and the operation thereof.

(1) Marine navigating risk hull and machinery insurance and marine war navigating risk hull and machinery insurance, together with, at the Owner's option, such amounts of increased value and total loss only insurance as are permitted by such hull and machinery insurance policies. The foregoing insurance shall be in aggregate amounts equal at all times to the aggregate fair market value of the Vessels. Such insurance shall be maintained in the broadest forms substantially equivalent to the coverage carried by other responsible and experienced companies engaged in operation of vessels similar to the Vessels, and shall be placed with underwriters of recognized standing (having a rating of not less than A- Vifrom A.M. Best & Co. or the equivalent rating from Standard & Poor's Ratings Services or Moody's Investors Service).

(2) Marine and war risk, full form protection and indemnity insurance with a member of the International Group Association of Protection and Indemnity Clubs (the "IGA Clubs") or, in the case of primary war risk, with insurers of recognized standing (having a rating of not less than A- VI from A.M. Best & Co. or the equivalent rating from Standard & Poor's Ratings Services or Moody's Investors Service). Such protection and indemnity insurance shall be maintained in the broadest forms generally available and shall include a cross liability endorsement, if obtainable. The Owner shall have the right to carry, for its own benefit, excess protection and indemnity insurance and marine multi-liability insurance.

(3) Insurance against liability under law or international convention arising out of pollution, spillage or leakage in an amount not less than (a) the maximum amount available, as that amount may from time to time change, from the IGA Clubs or alternatively such sources of pollution, spillage or leakage coverage as are commercially available in any absence of such coverage by the IGA Clubs as shall be carried by prudent ship-owners for similar vessels engaged in similar trades plus amounts available from customary excess insurers of such risks as excess amounts, if any, as shall be carried by prudent ship-owners for similar vessels engaged in similar trades, in each case to the extent commercially available and carried by other responsible and experienced companies engaged in the operation of vessels similar to the Vessels.

(4) To the extent obtainable, cargo liability insurance with one of the IGA Clubs or with insurers of recognized standing (having a rating of not less than A- VI from A.M. Best & Co. or the equivalent rating from Standard & Poor's Rating Services or Moody's Investors Service) under forms of policies at least equivalent to the coverage carried by other responsible and experienced companies engaged in operation of vessels similar to the Vessels.

13. **CARRIER DOCUMENTS; ENTIRE AGREEMENT:** With the exception of Carrier's Bill of Lading, this Agreement supersedes all tariffs, schedules, price lists, and other documents published or maintained by Carrier and only those terms and provisions of such documents that are expressly incorporated into the Agreement in a writing signed by both parties shall apply to shipments transported under the Agreement. This Agreement, together with all Exhibits, Appendices or Attachments, which are hereby incorporated by reference, constitutes the entire understanding of the parties in connection with its subject matter and supersedes any prior agreement in the subject matter herein. This Agreement may not be waived, altered, modified or amended except by a written instrument, duly executed by all the parties to this Agreement. Any

NYK55308

provision of this Agreement which is prohibited or unenforceable in a jurisdiction is, as to that jurisdiction, ineffective to the extent of the prohibition or unenforceability without invalidating the remaining provisions of this Agreement, and the prohibition or unenforceability in a jurisdiction does not invalidate or render unenforceable that provision in any other jurisdiction.

14. MISCELLANEOUS: (a) If Services include water transportation in the United States, then Shipper and Carrier agree that the Agreement shall be entered into under 49 U.S.C. 14101(b). Shipper and Carrier expressly waive any and all rights and remedies that are provided under Part B of Subtitle IV of Title 49, United States Code, except where otherwise prohibited by law or prohibited reason.

(b) If this Agreement is terminated for any reason prior to the completion of its term, commodities previously tendered by Shipper under this Agreement shall not be re-rated under Carrier's published tariffs as a result of early termination of this Agreement.

15. ANSI X12 DATA TRANSACTION SETS: Carrier must have the electronic capability to interface with Shipper's designated freight forwarder with capability of receiving/sending the following ANSI X12 data transaction sets:

- 300 Booking Request
- 301 Booking Confirmation
- 304 Shipping Instruction
 - * Carrier will load onto vessel only vehicles that were booked and authorized by Shipper via 300 booking message, Bill of Lading Instructions or 304 EDI
- 310 Ocean Bill of Lading
 - * Ocean carrier 310 EDI must validate on a vin by vin basis what vehicles loaded on each vessel
 - * Ocean freight and all applicable accessorial fees should be correct per contract
 - * On board date must be from rate origin included in 310
 - * If a vehicle is cut from a vessel, Carrier must transmit this cut back to Ford via 310
- 315 Cargo Status
 - * Provide ETA and ATA updates via 315 messages (weather delays, transshipments, etc.)

As new technology emerges and is adopted related to real time vehicle tracking, carriers will be expected to evolve and adapt to this industry trend; for example (but not limited to):

- Over contract period, work towards providing forecast / allocation and vessel schedules electronically into Ford applications
- Over contract period, work towards providing 310 EDI (confirmed on-board Bill of Lading) transaction within 12-24 business hours of vessel departure

16. WORKING GROUP: The parties understand that disagreements may arise with respect to the interpretation and enforcement of this Agreement, and expect that few, if any, of these issues will be beyond the parties' ability to resolve amicably without resorting to formal dispute resolution proceedings. As required, the parties agree to establish a working group (the "Working Group") composed of representatives designated by each party that will meet on a quarterly basis during the term of this Agreement to review areas of disagreement and discuss issues of interpretation and enforcement. Such representatives are expected to comprise individuals with decision-making authority who will work together to resolve any disagreements or issues. The parties agree to arrange meetings between Shipper's Director of Transportation Purchasing and Carrier's Vice President, Program Management, Ford as required from time to time to review issues or disagreements that the Working Group has been unable to resolve during the prior calendar quarter. Shipper's Director of Transportation Purchasing and Carrier's Global Account Manager shall be charged with responsibility to review the Working Group's efforts and negotiate a resolution acceptable to both parties. The parties agree not to resort to the dispute resolution proceedings described in Section 28 of Exhibit 2 to this Agreement unless the above procedures have been followed.

17. TERMINATION BY SELLER: Carrier may terminate this Agreement upon ninety (90) days written notice if Shipper breaches any material obligation of the Agreement which breach is not excused by the provisions of an Excusable Delay under Section 22 of Exhibit 2 and Shipper has not cured the breach within thirty (30) days after receiving notice of the breach. Carrier's termination hereunder shall be without penalty. Upon delivery of the notice of Carrier's termination, Carrier, unless otherwise directed by Shipper, will deliver all of Shipper's shipments that are in Carrier's possession and Shipper will pay Carrier for those services and all other services satisfactorily performed by Carrier for which Shipper has not made payment.

18. INFRINGEMENT: Carrier at its expense will indemnify and hold Shipper harmless with respect to every claim that may be brought against Shipper for any alleged infringement of any present or future patent, copyright, or other proprietary right based on Carrier's services under this agreement. Carrier will investigate and defend or otherwise handle every such claim, and at Shipper's request, assist Shipper in Shipper's investigation, defense or handling of any such claim. Carrier will pay all expenses and damages or settlement amounts that Shipper and others using Carrier's services may sustain by reason of each such indemnified claim. Carrier agrees to protect the confidentiality of all information acquired or developed by Carrier in the course of performance of services under this Agreement using the same standard of care that Carrier would use in protecting the confidentiality of its own confidential information.

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RATES AND CHARGES

Wharfage and Terminal or Handling charges normally assessed by the Carrier at the Port of Loading are included in the below rates.

Ocean Freight:

Rates are in U. S. Dollars.

Agreed upon rates are included in the attached rate sheets saved as: "2016 - 18 NYK Exhibit 5.xlsx". The Carrier will provide sailings per month "Routing (ports), Frequency, Estimated Transit (performance measurable)" as shown in the said attached rate sheet.

Final invoice should be sent to:

For E&G:

Ford Motor Company
Fairlane Business Park III
1555 Fairlane Dr.
Allen Park, MI 48101

For FOM:

Official name: Ford Motor Company, S.A. de C.V.
Guillermo Gonzalez Camarena N 1500
Col. Centro de Ciudad Santa Fé
Delegación Alvaro Obregón
Distrito Federal, Mexico, C.P. 01210

All original freight bills must be submitted to the designated payment address for Ford within 30 days from date of sailing. This does not apply to balance due bills or to certified copies of past due freight bills.

During contract period, all new models in the same route (port to port) will be priced in accordance with similar sized vehicles previously quoted for that route.

NYK55312



OCEAN VEHICLE BUNKER ADJUSTMENT PROGRAM
APPENDIX A of EXHIBIT 5 OF TRANSPORTATION SERVICES MAIN AGREEMENT
FOR OCEAN VEHICLES

This document outlines the Ocean Vehicle Bunker Adjustment Program agreement between Ford Motor Company ("Ford") and the co-signed to this agreement, from which Ford procures ocean vehicle shipments. (Applicable per trades specified in Exhibit 5 of global contract)

Bunker Adjustment Program:

- **Contract Terms:**
 - The Ocean Vehicle Bunker Adjustment Program will apply for the life of the contract
 - The Program is only applicable to lanes specified in Exhibit 5 of the Transportation Services Main Agreement for Ocean Carriers – Finished Vehicles
- **Frequency:**
 - Adjustments for the Ocean Vehicle Bunker Adjustment Program will be effective on the following dates:
 - January 1
 - April 1
 - July 1
 - October 1
- **Process:**
 - The bunker adjustment employed will be based on the average cost per metric ton of IFO 380 CST in Rotterdam, Singapore and New York as indicated at: www.bunkerworld.com/markets/prices/US/ for the reporting period
 - The starting index range for the Ocean Vehicle Bunker Adjustment for the Ocean Vehicle contracts will be between \$300 - \$349 per metric ton
 - No bunker adjustment will apply when IFO 380 CST is within the \$300 - \$349 per metric ton band
 - When bunker prices fall below the index range of \$300 - \$349 per metric ton, a reduction will apply of \$0.23 per CBM for every \$10 decrease in the index price
 - When bunker prices rise above the index range of \$300 - \$349 per metric ton, an increase will apply of \$0.23 per CBM for every \$10 increase in the index price
 - The bunker adjustment will be based on the average price of IFO 380 CST at the three ports in the applicable reporting period (ending 15 days prior to the effective date)
 - The bunker adjustment will be valid for three months until the new adjustment takes place
 - The Ocean Vehicle Bunker Adjustment will be communicated prior to the effective date of each adjustment:

<u>Reporting Period</u>	<u>Effective Date of Adjustment</u>
September 16 – December 15	January 1
December 16 – March 15	April 1
March 16 – June 15	July 1
June 16 – September 15	October 1

- The Ocean Vehicle Bunker Adjustment will move up or down depending on the result of the average cost over the three month period and where the average lies on the program table.
- Adjustment amounts will be rounded up or down to the nearest penny
- Flat rates will be converted based on estimated size of vehicle in contract, adjusted quarterly per program change



OCEAN VEHICLE BUNKER ADJUSTMENT PROGRAM
APPENDIX A of EXHIBIT 5 OF TRANSPORTATION SERVICES MAIN AGREEMENT
FOR OCEAN VEHICLES

FORD BAF TABLE

Bunker Price per Metric Ton (USD)	Adjustment per Cube (\$/23)
\$260 - \$269.99	\$ (0.92)
\$270 - \$279.99	\$ (0.69)
\$280 - \$289.99	\$ (0.46)
\$290 - \$299.99	\$ (0.23)
\$300 - \$349.99	\$ -
\$350 - \$359.99	\$ 0.23
\$360 - \$369.99	\$ 0.46
\$370 - \$379.99	\$ 0.69
\$380 - \$389.99	\$ 0.92
\$390 - \$399.99	\$ 1.15
\$400 - \$409.99	\$ 1.38
\$410 - \$419.99	\$ 1.61
\$420 - \$429.99	\$ 1.84
\$430 - \$439.99	\$ 2.07
\$440 - \$449.99	\$ 2.30
\$450 - \$459.99	\$ 2.53
\$460 - \$469.99	\$ 2.76
\$470 - \$479.99	\$ 2.99
\$480 - \$489.99	\$ 3.22
\$490 - \$499.99	\$ 3.45
\$500 - \$509.99	\$ 3.68
\$510 - \$519.99	\$ 3.91
\$520 - \$529.99	\$ 4.14
\$530 - \$539.99	\$ 4.37
\$540 - \$549.99	\$ 4.60
\$550 - \$559.99	\$ 4.83
\$560 - \$569.99	\$ 5.06
\$570 - \$579.99	\$ 5.29
\$580 - \$589.99	\$ 5.52
\$590 - \$599.99	\$ 5.75
\$600 - \$609.99	\$ 5.98
\$610 - \$619.99	\$ 6.21
\$620 - \$629.99	\$ 6.44
\$630 - \$639.99	\$ 6.67
\$640 - \$649.99	\$ 6.90
\$650 - \$659.99	\$ 7.13
\$660 - \$669.99	\$ 7.36
\$670 - \$679.99	\$ 7.59
\$680 - \$689.99	\$ 7.82
\$690 - \$699.99	\$ 8.05
\$700 - \$709.99	\$ 8.28
\$710 - \$719.99	\$ 8.51
\$720 - \$729.99	\$ 8.74

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OCEAN VEHICLE BUNKER ADJUSTMENT PROGRAM
APPENDIX A of EXHIBIT 5 OF TRANSPORTATION SERVICES MAIN AGREEMENT
FOR OCEAN VEHICLES

- Invoicing:
 - Throughout the duration of the Ocean Vehicle Bunker Adjustment Program, ocean carriers should continue to invoice the appropriate pay address specified in the Transportation Services Main Agreement for Ocean Carriers – Finished Vehicles
 - All adjustments will be communicated by Ford to freight payment locations and carriers on the 16th of the month prior to the effective date of the adjustment.

Carriers have the option of waiving the Ford Ocean Vehicle Bunker Adjustment Program and quoting "all in" rates which will not be eligible for bunker adjustment for the duration of the contract.

In the event of circumstances unforeseen concerning Bunker Fuel cost, both the "shipper" and the "carrier" reserve the right to meet to discuss future opportunities.

Originator: kwhite/kwhite
Ford Global Ocean Vehicle Bunker Adjustment Program 2012.doc

Page 3 of 3

Date Issued: 5/14/09
Date Revised: 07/18/2012

NYK00011

**Transportation Services Main Agreement
Between Ford Motor Company and NYK Line
Ocean Carrier- Finished Vehicles**

Amendment 1 - Effective: January 1, 2016

This Agreement, effective January 1, 2016 and amended November 13, 2015 is between Nippon Yusen Kabushiki Kaisha, a Japanese Corporation, with its principal place of business Tokyo ("Carrier") and Ford Motor Company, a Delaware corporation with its principal place of business at One American Road, Dearborn, MI 48126 ("Shipper"). Shipper desires to purchase, and Carrier desires to sell, certain transportation services as further described in this Agreement:

- **Amendment 1 amends the contract as follows:**
 - **Adds the following trade lanes to the contract:**
 - **Note that trades included in the initial award for 2016-18 contract are also included in "2016-18 NYK Exhibit 5 amend 1.xlsx"**
 - Argentina to South America
 - Brazil to South America
 - Europe to Africa
 - Europe to Central America
 - Europe to North America
 - Europe to South America
 - Europe to Southeast Asia
 - India to South Pacific
 - India to Southeast Asia
 - North America to Asia
 - North America to Caribbean
 - North America to Central America
 - North America to GCC
 - North America to South America
 - SA to Europe
 - Thailand to South Pacific
 - Thailand to Southeast Asia
 - **Updates vehicle dimensions and volumes for the "Thailand to Asia" and "Thailand to Oceania" trades.**
- **Detailed specifications are included in the attached file saved as "2016 - 18 NYK Exhibit 5 amend 1.xlsx."**



2016-18 NYK Exhibit
5 amend 1.xlsx

THE PARTIES INDICATE THEIR AGREEMENT TO THESE TERMS BY THEIR SIGNATURES BELOW:

**NYK Line (NA) Inc.
(Carrier)**

By: _____

Print: _____

Title: _____

Date: _____

**Ford Motor Company
(Shipper)**

By: _____

Print: John Hubbard _____

Title: Buyer _____

Date: November 13, 2015 _____

(Representative Sample of Negotiated Rates for 2016 Service Contract)

(Columns to the Right Begin on Next Page)

	A	B	C	D	E	F	G	H	I	J	K
	CARR IER	GSDB	BUDG ET HOLD ER	DIVISI ON LEAD	ASSE MBLY PLAN T	TRADE LANE FROM AND TO REGION	ORIGI N COUN TRY OF PO	LOAD PORT	TRAN SHIP MENT / PORT (PC T)	DESTINATION PORT	DESTINA TION COUNTR Y OF PORT
1											
2	NYK		EMS	J. Hubbar d	Louisvill e	North America to Central America	U.S.	Jacksonville, Baltimore, Newark,		Puerto Cortes	Honduras
3	NYK		EMS	J. Hubbar d	Oakville	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
4	NYK		EMS	J. Hubbar d	Kentuck y	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
5	NYK		EMS	J. Hubbar d	Chicago	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
6	NYK		EMS	J. Hubbar d		North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
7	NYK		EMS	J. Hubbar d		North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
8	NYK		EMS	J. Hubbar d		North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
9	NYK		EMS	J. Hubbar d	Flatrock	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
10	NYK		EMS	J. Hubbar d	Chicago	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Cambodia
11	NYK		EMS	J. Hubbar d	Oakville	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Laos - Peoples Democratic Rep.
12	NYK		EMS	J. Hubbar d	Chicago	North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Laos - Peoples Democratic Rep.
13	NYK		EMS	J. Hubbar d		North America to Asia	U.S.	Jacksonville, Baltimore, Newark,	Jeddah/ Singapo re	LAEM CHABANG	Laos - Peoples Democratic Rep.

(Representative Sample of Negotiated Rates for 2016 Service Contract)

(Columns to the Right Begin on Next Page)

L	M	N	O	P	Q	R	S	T	U	V	W
FINAL DESTINATION COUNTRY (MARKET)	VEHICLE MODEL	Indicative Length (m)	Indicative Width (m)	Indicative Height (m)	INDICATIVE METERS / CER	2016 FORECAST ED VOLUME	2017 FORECAST ED VOLUME	2018 FORECAST ED VOLUME	FREIGHT PAYMENT TERMS C - COLLECT P - PREPAID	RATE PER CBM	OCEAN RATE PER VEHICLE
Honduras	Escape	4.52	1.91	1.68	14.5	84	84	43	P		\$ 625.00
Cambodia	Edge	4.78	1.99	1.74	16.551	18	36	38	P	\$ 62.00	
Cambodia	Expedition	5.23	2.02	1.96	20.74	2	2	2	P	\$ 62.00	
Cambodia	Explorer	5.01	2.1	1.77	18.53	36	36	46	P	\$ 62.00	
Cambodia	F-Series Large Over 27cbm				28	2	2	2	P	\$ 62.00	
Cambodia	F-Series Medium Over 25cbm to 27cbm				26	3	3	3	P	\$ 62.00	
Cambodia	F-Series Small Up to 25cbm				25	3	3	20	P	\$ 62.00	
Cambodia	Mustang	4.78	1.99	1.38	13.13	24	24	24	P	\$ 62.00	
Cambodia	Taurus	5.15	1.96	1.54	15.6	12	12	12	P	\$ 62.00	
Laos - Peoples Democratic Rep	Edge	4.78	1.99	1.74	16.551	6	12	13	P	\$ 62.00	
Laos - Peoples Democratic Rep	Explorer	5.01	2.1	1.77	18.53	36	36	51	P	\$ 62.00	
Laos - Peoples Democratic Rep	F-Series Large Over 27cbm				28	1	1	1	P	\$ 62.00	

(Representative Sample of Negotiated Rates for 2016 Service Contract)

(Columns to the Left Begin on Prior Page)

X	Y	Z	AA	AB	AC	AD	AE	AF
FORD BAF OR ALL IT	ACCE SSORI AL CHAR GES PE UN	THC PER UNIT (USD)	TRAN SIT TIME (NUM BER OF DA	FREQUENCY (SHIPMENTS PER MONTH) "unless noted"	FREE TIME AT LOAD PO	INDU CEME NT	EXPIRATIO N DATE	CARRIER NOTES
FORD BAF			12-17 days (depend s on loading port)	1			12/31/2018	
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO
FORD BAF			55-65	1-2			12/31/2018	TRANSSHIPMENT VIA JEDDAH SINGAPORE (CARRIER'S OPTIO

**NYK's MOV.
EXHIBIT F**

AGREEMENT

This Agreement (hereinafter "Agreement") is made this 2nd day of April, 2015, by and between NYK Line (North America) Inc. and principal place of business located at 300 Lighting Way, Secaucus, NJ 07094 (hereinafter "CARRIER") and D.F. Young, Inc., having an office and principal place of business at 1235 Westlakes Drive, Suite 255, Berwyn, PA 19312 (hereinafter "Forwarding Agent").

WHEREAS, in accordance with the regulations of the Federal Maritime Commission of the United States of America, Forwarding Agent is a duly licensed Ocean Transportation Intermediary;

WHEREAS, Forwarding Agent performs freight forwarding services on behalf of the Ford Motor Company and its affiliated companies (hereinafter "Ford"), in connection with shipments of newly manufactured Ford vehicles (a) to and/or from the United States of America, and (b) in foreign-to-foreign trade lanes;

WHEREAS, CARRIER is a carrier of goods by water for hire, whose services Forwarding Agent and Ford use for the transportation of certain of the referenced shipments;

WHEREAS, CARRIER, Forwarding Agent and Ford desire to simplify the process of bill of lading issuance for such business;

NOW, THEREFORE, for and in consideration of the above premises, the mutual promises and covenants set forth below, and other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, CARRIER and Forwarding Agent agree as follows:

1. TERM. This Agreement shall commence on the above date and shall remain in effect for services in place with Ford. Except with respect to bills of lading that have already been issued in accordance with this Agreement, either party may terminate this Agreement at any time, for any reason. Notice of termination by CARRIER or Forwarding Agent may be given by written, electronic or facsimile notice, and termination shall take effect either immediately upon such notice or upon such later date as may be specified in said notice. Termination shall not affect the rights or liabilities of the parties in existence on the date of termination.

2. SCOPE. It is understood and agreed Forwarding Agent is acting on behalf of Ford, from whom Forwarding Agent has written power of attorney. Forwarding Agent enters into this Agreement on its own behalf and on behalf of Ford who, together with Forwarding Agent, shall be bound by the terms and conditions



hereof. This Agreement shall apply to all shipments of Ford for which (a) Forwarding Agent performs freight forwarding services, and (b) CARRIER has provided Forwarding Agent with written authorization to proceed in accordance with the procedure set forth herein. For purposes of the foregoing, subject to the provisions of this Agreement, transmission by CARRIER and receipt by Forwarding Agent of Electronic Data Interchange ("EDI") containing bill of lading data shall constitute such authorization.

3. **ELECTRONIC DATA.** Electronic bill of lading data shall, in accordance with bookings made by Forwarding Agent and/or Ford, be created by CARRIER or its duly authorized agent and transmitted to Forwarding Agent via EDI, for the sole purpose of printing at Forwarding Agent's office bills of lading to be used for the Ford shipments identified above. Forwarding Agent shall provide, at its sole cost, all personnel and equipment (such as hardware, software, printers, etc.) necessary to receive and utilize the EDI. Forwarding Agent shall follow all instructions and directions CARRIER may provide in connection with the bill of lading data. Unless authorized by CARRIER in writing, Forwarding Agent shall at no time (a) alter or supplement any bill of lading data, or (b) alter, supplement, correct, amend, replace, duplicate or reissue any bills of lading created from the bill of lading data.

4. **BILL OF LADING FORMS.** For the Ford shipments identified above, Forwarding Agent shall, in accordance with the instructions and directions provided by CARRIER, use the bill of lading data to print and issue bills of lading on forms to be supplied by Forwarding Agent. It shall be the responsibility of Forwarding Agent effectively to incorporate by reference into all bills of lading issued hereunder the terms and conditions of CARRIER's regular form bill of lading, a copy of which is attached as "Exhibit A." CARRIER, Forwarding Agent and Ford agree that the terms and conditions of CARRIER's regular form bill of lading shall apply to all shipments hereunder. It shall also be the responsibility of Forwarding Agent to identify on bills of lading CARRIER as the carrier and, when authorized to do so in accordance with the terms of this Agreement, to sign the bills of lading for or on behalf of CARRIER, as agent thereof.

Forwarding Agent shall under no circumstances permit the bill of lading data or the bills of lading printed therewith to be used for purposes other than those authorized by this Agreement.

In the event of any conflict between the terms and conditions of the bill of lading and of this Agreement, the terms and conditions of this Agreement shall control.



5. **BILL OF LADING ISSUANCE AND RELEASE.** Forwarding Agent is appointed special agent of CARRIER for the sole purpose of issuing bills of lading hereunder. CARRIER shall provide Forwarding Agent with specific written or data communications that cargo has been loaded to a vessel and that bills of lading are authorized to be released. Only upon receipt of such communications shall Forwarding Agent be authorized to print, sign and release bills of lading. Under no circumstances shall Forwarding Agent print, sign or release bills of lading without having received such communications from CARRIER, in advance.

6. **PROPERTY RIGHTS.** Unless such information is otherwise available to the general public, CARRIER and Forwarding Agent shall keep all information shared or otherwise obtained by reason of this Agreement confidential. Neither party shall use, transmit, share with third parties or otherwise divulge such information without the express written consent of the other party.

This Agreement shall not be construed to allow either party to use the names, trade-names, good will, trade-marks or copyrights of the other. CARRIER and Forwarding Agent hereby agree not to use or otherwise infringe upon any such property rights, unless authorized to do so in a separate agreement signed by the party against whom enforcement is sought.

7. **ASSIGNMENT.** Neither party may assign any of its rights or delegate any of its duties under this Agreement without the prior written consent of the other party. Nothing herein shall be construed to restrict the right of CARRIER to act through its duly authorized agents.

8. **INDEMNIFICATION.** Forwarding Agent shall defend, indemnify and hold harmless CARRIER from and against any and all claims, demands, actions, causes of actions, liabilities, costs and/or expenses (including reasonable attorneys' fees), however presented, that arise out of Forwarding Agent's breach of this Agreement, negligence or intentional misconduct, except to the extent that such claims, demands, actions, causes of actions, liabilities, costs and/or expenses (including reasonable attorneys' fees), however presented, arise out of any breach of this Agreement, negligence or intentional misconduct of CARRIER.

9. **LAW.** This Agreement shall be governed by and construed in accordance with the general maritime laws of the United States including the Federal Bills of Lading Act. The parties agree to comply with the foregoing and all other applicable law.

In the event of any breach of this Agreement by Forwarding Agent, CARRIER shall have the right to bring an action against Forwarding Agent in the state or



federal courts located in the Southern District of New York to the jurisdiction of the aforesaid forum. All other causes of action concerning this Agreement shall be brought, if at all, in the forum set forth in the bill of lading.

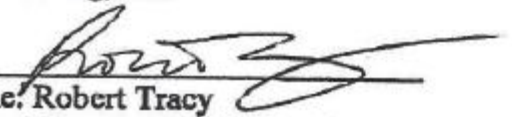
10. MISCELLANEOUS. This Agreement is mutually non-exclusive and it is agreed CARRIER and Forwarding Agent may enter into like agreements with other parties. This Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in a writing signed by the party against whom enforcement is sought.

CARRIER

By: NYK Line (North America) Inc.
As an Agent for Nippon Yusen Kabushiki Kaisha

By: 
Name: Tomohiro Hosaka
Title: Vice President – RoRo Division

D. F. Young, Inc.

By: 
Name: Robert Tracy
Title: Director – Global Vehicle Logistics

**NYK's MOV.
EXHIBIT G**



- **Tariff: NYKS-156 (Worldwide Roll-on/Roll-off Cargo Tariff) *RULE CHANGE (RULE #009)***

(RULE NAME: FREIGHT FORWARDER COMPENSATION)

10/4/2016

"Please receive this notice that effective November 2, 2016, NYK will no longer be paying freight forwarder compensation for shipments of Auto Manufacturers Cargo, pursuant to the attached amended tariff NYKS-156 (Rule #009)."

Compensation will be paid only to independent Ocean Freight Forwarders, licensed under Section 19(a) of the Shipping Act of 1984 and the rules and regulations promulgated pursuant to it, and only when such a forwarder certifies in writing, as specified in these rules and regulations, that it is so licensed and that it has complied with all the requirements of such Act and such rules and regulations. The compensation which is paid under this rule shall be on the Gross Freight. "Gross Freight" is defined as the base ocean freight rate, and Heavy Lift and Extra Length Charges, if applicable. Gross Freight does not, for the purpose of computing compensation, include charges assessed for war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge. Compensation will not be paid on any shipment on which brokerage is paid.

Compensation will be allowed to an Ocean Freight Forwarder or Freight Broker only on shipments where the name of the actual Shipper is disclosed on the shipper identification line appearing above the cargo description data of the ocean bill of lading, and, if the forwarder's name also appears on said Shipper identification line, it appears after the name of the actual Shipper and designated "as Agents" or "Agent".

Compensation may not be deducted from ocean freight and other charges due in accordance with the rates and conditions contained in this tariff.

Compensation to be paid as per RATES OF COMPENSATION list in same section.

RATES OF COMPENSATION: Compensation will be paid as follows:

2.50% on all shipments (See Exceptions)

EXCEPTIONS:

1) No compensation will be paid to an Ocean Freight Forwarder for shipments of Auto Manufacturers Cargo (defined as new assembled motor vehicles).

2) \$70.00 per unit on privately owned cars/vans/suvs/light duty trucks not exceeding 2.4 meters in height destined to Countries in the Middle East and Africa

3) 3.0% on all other High Heavy Cargoes, Rolling Stock, Static destined to Countries in the Middle East and Africa

NYK Line (North America) Inc.
300 Lighting Way, Secaucus, NJ 07094
www.nyk.com/english/

NYK's MOV.
EXHIBIT H

**Transportation Services Main Agreement
Between Ford Motor Company and NYK Line
Ocean Carrier- Finished Vehicles**

Amendment 36 - Effective: August 22, 2014

This Agreement, effective January 1, 2013 and amended August 22, 2014 is between Nippon Yusen Kabushiki Kaisha, a Japanese Corporation, with its principal place of business Tokyo ("Carrier") and Ford Motor Company, a Delaware corporation with its principal place of business at One American Road, Dearborn, MI 48126 ("Shipper"). Shipper desires to purchase, and Carrier desires to sell, certain transportation services as further described in this Agreement:

- Amendment 36 amends the contract as follows:
 - Adds the US (Newark/Doremus, Jacksonville/Blount Island) to Mexico (Veracruz) trade for various vehicles, at a rate of \$8 / cbm plus Ford BAF plus \$7 / unit freight forwarding fee. The freight forwarding fee covers services as outlined in the attached document "FV Freight Forwarding1.doc."


FV Freight
Forwarding1.doc

- Detailed specifications are included in the attached file saved as "2013 - 15 NYK Exhibit 5 amend 36.xls."


2013-15 NYK Exhibit
5 amend 36.xlsx

THE PARTIES INDICATE THEIR AGREEMENT TO THESE TERMS BY THEIR SIGNATURES BELOW:

NYK Line (NA) Inc.
(Carrier)

By: J. Hosaka
Print: Tomohito Hosaka
Title: VP POPO
Date: 8/22/2014

Ford Motor Company
(Shipper)

By: [Signature]
Print: JOHN HUBBARD
Title: BUYER
Date: 22 AUG 2014

Prepared by: Ford MP&L - NAVL	Title: Statement of Work - FV Freight Forwarding
Approved by: K. Valente	Doc. No. 1
Date Issued: 6/17/2014	Rev. Level: A
Effective Date: 06/17/2014	Page Page 1 of 1

Ford Motor Company
Freight Forwarding Provider Statement of Work
Finished Vehicles

The Freight Forwarding Provider (FFP) will provide freight forwarding services for US produced vehicles to be shipped by vessel to Veracruz, MX from Newark, NJ and Blount Island, FL. Freight forwarding services are to include:

- Act as a Single Point of Contact for the organization of bi-weekly vessel arrivals to determine quantity of vehicles to be shipped following carrier current cutoff policies
- Communication to the port processor, vessel carrier, BTS and Ford of Mexico team of final vehicle quantities/VINS to be shipped on each vessel shipment
- Document preparation, filing, and resolution management for AES filings
 - Obtain a power of attorney or written authorization from the USPPi to file the EEI
 - Accurate preparation and timely filing of the EEI based on information received from the USPPi and other parties involved in the transaction
 - Retaining documentation of the information reported to the AES. Upon request, providing the USPPi with a copy of the export information filed in a mutually agreed upon format.
- Freight forward must provide the following data to file AES:
 - Date of export
 - Transportation Reference Number
 - Ultimate consignee
 - Intermediate consignee, if applicable
 - Authorized agent EIN or DUNS, name, address
 - Country of ultimate destination
 - Method of transportation
 - Carrier identification and conveyance name
 - Port of export
 - Foreign port of unloading
 - Shipping weight
 - ECCN
 - License or license exemption information

Ford's Freight Forwarding Rules can be found at: <https://web.fsp.ford.com/gtc/docs/customsusa.pdf>

K. Valente
 G/S: Item Number:
 G/S2 Classification:

Page 1 of 1

Date Issued: 6/17/2014
 Date Revised:
 Retention Start Date:

NYK's MOV.
EXHIBIT I

THE FEDERAL MARITIME COMMISSION
800 North Capitol Street, NW, Washington, D.C.

D. F. YOUNG, INC.,
Complainant,
v.
NYK LINE (NORTH AMERICA) INC.,
Respondent.

DOCKET NO. 16-02

**RESPONDENT'S DECLARATION OF
JOHN GRBIC IN SUPPORT OF ITS
MOTION FOR A SUMMARY DECISION**

Pursuant to 28 U.S.C. 1746(2) and 46 C.F.R. 502.6(c)(2), I, John Grbic, declare under penalty of perjury that the following is true and correct:

1. I submit this declaration on personal knowledge in support of Respondents' motion for a summary decision.
2. I am advised by counsel that the Complainant is suing for freight forwarder compensation due under tariff for certain shipments carried for Ford Motor Co. dating back to March 25, 2015.
3. At all times since March 25, 2015, I have been Respondent's Senior Director of Ro-Ro Trade.
4. As Senior Director, I have been personally involved for Respondent in Ro-Ro shipments of new assembled automobiles for Ford Motor Co.
5. Accompanying this motion are true and complete copies of the following documents relating to those Ford shipments.

EXHIBIT C: Rule 9 of Tariff NYKS-156. (RX-26).

EXHIBIT D: Excerpts from a Service Contract for 2013-2016 with non-party, Ford Motor Co., as shipper. *RX-27.*

EXHIBIT E: Excerpts from Service Contract for 2016-2018 with non-party, Ford Motor Co., as shipper. *RX-50*

EXHIBIT G: Change to Rule 9 of Tariff NYKS-156. *RX-67*

EXHIBIT H: Amendment 36 to EXHIBIT D. *RX-68.*

6. The foregoing EXHIBITS were or are created, kept, or maintained by Respondent in the regular course of business and it was and is the regular course of Respondent's business and practice to create, keep, or maintain such documents.
7. The foregoing EXHIBITS were made:
 - (a) At or near the time they record; and
 - (b) By or from information transmitted by a person with knowledge of the transactions, occurrences, or events they record.
8. If the Ford shipments had been tariff shipments, as Complainant says, they would have had to move under Tariff NYKS-156, which is the only tariff that governs Ro-Ro shipments.
9. Tariff NYKS-156 has a Rule 9 governing freight forwarder compensation.
EXHIBIT C. (RX-26).
10. However, the Ford shipments did not move under tariff, so Rule 9 regarding freight forwarder compensation does not apply here.

11. In any event, effective November 2, 2016, Rule 9 was changed to the extent of terminating forwarder compensation for automobile manufacturers' cargo.

EXHIBIT G. (RX-67).

12. The Ford shipments were carried under two consecutive Service Contracts entered into in 2013 and 2016 with Ford Motor Co., as shipper. *See, EXHIBITS D and E (containing only excerpts from those Contracts applicable to this motion). RX-27-49 and 50-62.* There were no tariff moves.

13. I have reviewed both Service Contracts and their amendments in their entirety.

- (a) Except for variables such as freight rates and port pairs, the terms and conditions of the two Service Contracts are substantially the same.
- (b) There is nothing in any of them which requires Respondent to pay freight forwarder compensation to DFY.
- (c) The Service Contracts do not incorporate Tariff NYKS-156 or its Rule 9.

14. There is an Amendment 36 dated August 22, 2014 to the 2013 Service Contract. *See, EXHIBITH. (RX-68).* Amendment 36 predates Complainant becoming freight forwarder for Ford Motor Co. It says:

Amendment 36 amends the contract as follows:
Adds the US (Newark/Doremus, Jacksonville/Blount Island) to Mexico (Veracruz) trade for various vehicles, at a rate of \$8 / cbm plus Ford BAF plus \$7 / unit freight forwarding fee. *The freight forwarding fee covers services outlined in the attached document "FV Freight Forwarding1.doc."*

See, id. (Emphasis added).

15. Amendment 36 is inapplicable to DFY's forwarder compensation claim for the following reasons:
- (a) By its wording, the \$7 fee was to be *paid by Ford* as part of the Service Contract freight and charges. It does not obligate *Respondent* to pay anything. *Id.*
 - (b) The fee was to cover Respondent's expenses in engaging a freight forwarder for Ford shipments in a trade not for which Ford did not hire DFY or its freight forwarder predecessor, Schenker. It was not an agreement to pay Complainant or any forwarder hired by Ford.
16. There was not and is not any agreement between Complainant and Respondent for payment of freight forwarder compensation to Complainant for the Ford shipments.

Dated: Secaucus, NJ, January 6, 2017



JOHN GRBIC